KPMG

Project Puddles

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Financial due diligence

—

January 5, 2021

Important notice

This report is provided to TorQuest Partners Inc. (“Client”) on a confidential basis pursuant to our engagement letter dated October 5, 2020 (“Engagement Agreement”) and is subject in all respects to the terms and conditions of the Engagement Agreement, including restrictions on use of this report by third parties.

If this report is received by any party other than Client, the recipient is placed on notice that this report has been prepared solely for Client’s benefit and its own use. KPMG LLP (“KPMG”) does not authorize recipient or any other party to rely on this report and any such reliance shall be at recipient’s sole risk. Therefore, KPMG shall have no liability or responsibility in respect of the advice, recommendations, or other information in this report to recipient or any other party other than the Client. Further, this report and its contents may not be shared with or disclosed by the recipient to any party without the express written consent of the Client and KPMG.

This engagement is not an assurance engagement conducted in accordance with any generally accepted assurance standards and consequently no assurance opinion is expressed.

The quality of earnings and working capital analysis is for indicative purposes only. We have sought to illustrate the effect on EBITDA and working capital by adjusting for those items identified in the course of our work that may be considered to be 'non-recurring' or 'exceptional'. However the selection and quantification of such adjustments is necessarily judgmental. Because there is no authoritative literature or common standard with respect to the calculation of 'underlying' earnings and working capital, there is no basis to state whether all appropriate and comparable adjustments have been made. In addition, while the adjustments may indeed relate to items which are 'non-recurring’ or 'exceptional' or otherwise unrepresentative of the trend, it is possible that earnings and working capital trends for future periods may be affected by such items, which may be different from the historical items.

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Private and confidential

Andrew Krane
Vice President
TorQuest Partners Inc.
Brookfield Place 161 Bay St, Suite 4240
Toronto, ON, Canada M5J 2S1

January 5, 2021

Dear Mr. Krane:

We have completed our procedures to assist TorQuest Partners Inc. ("Client" or "you") in performing financial due diligence in connection with your prospective investment (the "Transaction") in Genfoot Inc., Genfoot America Inc., Genfoot International, Genfoot Marketing Germany CmbH, Genfoot Realty Inc. and GFA Realty Inc. dba Kamik (collectively the "Company" or "Target"), in accordance with the terms of our engagement letter dated October 5, 2020, including its Terms and Conditions for Advisory and Tax Services.

Objective

The objective of our engagement was to assist you with your assessment of the risks and opportunities of your prospective acquisition of Target. Our work in this report was based on information provided by you and obtained in an electronic data room and discussions/meetings with Target Management. The primary scope of our engagement was to make inquiries and perform analyses based on information made available to us, directed toward those business activities and related financial data of interest to you.

Basis of Information

The engagement letter describes the procedures we were to perform and are attached herein in Appendix 10. Those procedures were selected by you and were limited in nature and extent to those that you determined best fit your needs. We make no representation regarding the sufficiency for your purposes of the procedures selected, and those procedures will not necessarily disclose all significant matters about Target or reveal errors in the underlying information, instances of fraud, or illegal acts, if any. This report was prepared by us on the basis that you provided us with all relevant information you received concerning Target.

The procedures we performed do not constitute an audit, examination or review in accordance with standards established by the Auditing and Assurance Standards Board ("AASB") in Canada, and we have not otherwise verified the information we obtained or presented in this report. We express no opinion or any other form of assurance on Target's internal control over financial reporting or on the information presented in our report, and make no representations concerning its accuracy or completeness.

We have not compiled, examined, or applied other procedures in accordance with the Assurance and Related Services Guidelines issued by the AASB to prospective information contained in this document and, accordingly, express no opinion or any other form of assurance or representations concerning the accuracy, completeness or presentation format of such prospective information. There will usually be differences between projected and actual results, because events and circumstances frequently do not occur as expected, and those differences may be material.

The data included in this report was obtained from you and/or Target from October 5 to December 30, 2020, inclusive. Since many aspects of the transaction with Target have either not been finalized or are not yet documented, changes may occur that materially affect the financial and other information we received and reported to you. We have no obligation to update our report or to revise the information contained herein to reflect events and transactions occurring subsequent to December 30, 2020. We have not reviewed this report with Target Management for the purpose of confirming the factual accuracy of the information we presented.

Because of its special nature, this report is not suited for any purpose other than to assist Client in its evaluation of Target and, as such and as agreed in the engagement letter, is restricted for your internal use only. Accordingly, KPMG does not accept any liability or responsibility to any third party who may use or place reliance on our report.

Yours truly,

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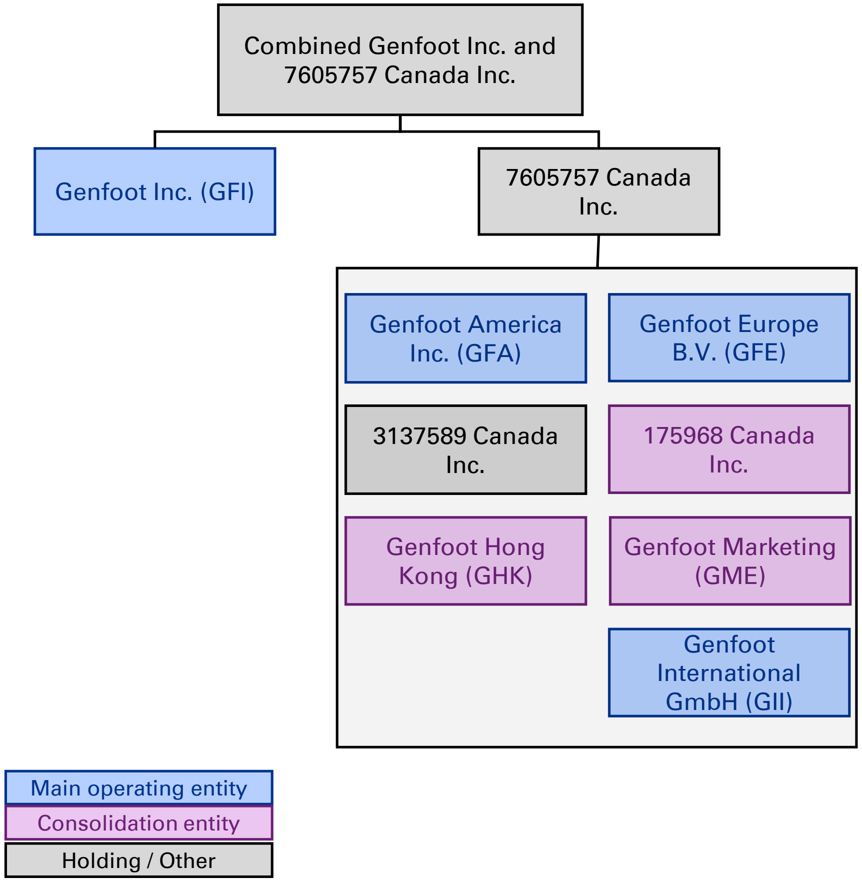
Contents

Executive summary

Business overview

Entity overview



Source: Project Puddles - Operating Structure Overview.pdf

Note 1: Prior to August 2020, GII was inactive and sales were recorded in GFI via distributor.

Note 2: The above is indicative based on the Operating Structure Overview. Management has not shared a legal entity organization chart.

Business overview

- Genfoot Inc. (the "Company" "Genfoot") sells footwear through its manufacturing and distribution facilities all across Canada and the USA.
- The Company is a family owned business purchased in 1932 by William Cook. It is currently being operated by the third generation of the family.
- The Company is headquartered in Lachine, Quebec with manufacturing facilities in Lachine, felt and sewing operations in New Hamburg, Ontario and US based injection molding capabilities in Littleton, New Hampshire.
- Genfoot has it's own international brand named "Kamik" and also operates a private label non-branded footwear business segment.

Information overview and access

- The analysis contained in this report is prepared based on the following sources of information and access:
  - Key information uploaded to the electronic vendor data room, including: trial balances, combined financial statements, EBITDA and net working capital adjustment schedules, and other supporting financial information; and
  - Discussions held between October 23, 2020 and December 14, 2020 with Stephen Cook, CEO and Irwin Kastner, VP Finance ("Management") and Richter, the sell-side advisor.

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Summary reported financials

The tables below summarize the Company's reported financials. Refer to Appendix 2 for a reconciliation of Management accounts to the audited annual financial statements. Refer to quality of earnings, net working capital, and net debt sections for adjustment considerations.

Income statement

$'000	FY19	FY20	TTM Sep-20
Sales	101,272	102,209	93,648
Cost of sales	(6,275)	(4,827)	(4,459)
Amortization	(1,120)	(1,226)	(1,030)
Purchases	(60,629)	(60,079)	(55,167)
Cost of goods sold	(68,025)	(66,133)	(60,655)
Gross profit	**33,248**	**36,076**	**32,992**
Warehousing	(5,487)	(5,743)	(4,937)
Selling	(10,193)	(10,230)	(8,375)
Administration	(10,052)	(8,363)	(7,026)
Operating income	**7,515**	**11,739**	**12,654**
Financial	(1,033)	(2,662)	(2,121)
Translation FX loss (gain)	110	66	77
Royalies	268	246	311
Profit before taxes	**6,860**	**9,389**	**10,921**
Income taxes	(1,488)	(2,245)	(2,603)
Provision For Income Taxes	(528)	(664)	(664)
Net income	**4,843**	**6,479**	**7,654**
EBITDA			
Income taxes	2,016	2,909	3,267
Interest	761	1,883	1,459
Depreciation	1,328	1,477	1,247
EBITDA	**8,949**	**12,749**	**13,627**

Source: Management provided information; KPMG analysis

Balance sheet

	As at			Average		
$'000	28-Feb-19	29-Feb-20	30-Sep-20	FY19	FY20	TTM Sep-20
Assets						
Cash	8,505	4,676	(7,650)	(2,105)	(2,038)	(3,368)
Accounts receivable	12,927	10,113	22,059	19,530	17,340	15,431
Inventory	13,855	19,062	24,276	20,263	22,788	22,773
Advances to company under common control	3,508	4,109	3,667	2,737	3,534	3,846
Prepaid expenses and deposits	2,028	2,137	2,608	2,109	2,558	2,343
Current assets	40,824	40,097	44,961	42,535	44,183	41,025
Property, plant and equipment	5,191	4,868	4,438	5,708	4,991	4,818
Investment in subsidiary company	38	38	40	39	38	39
Investment in company under common control	0	0	0	5,848	0	0
Loans receivable, companies under common control	5,187	5,187	5,187	3,258	5,187	5,187
Assets	**51,240**	**50,189**	**54,626**	**57,388**	**54,398**	**51,067**
Liabilities & equity						
Accounts payable and accrued liabilities	(8,523)	(8,380)	(12,844)	(9,606)	(11,356)	(9,652)
Income taxes payable	(255)	(580)	1,768	1,193	888	788
Current liabilities	(8,777)	(8,961)	(11,076)	(8,414)	(10,469)	(8,863)
Balance on redemption of shares	(6,522)	(5,853)	(5,463)	(2,202)	(6,181)	(5,790)
Advances from companies under common control	26	-	388	96	52	61
Loans payable	(14,597)	(14,287)	(11,265)	(3,507)	(14,473)	(12,840)
Loans payable, companies under common control	(917)	(872)	(1,078)	(3,200)	(774)	(937)
Long-term debt	(5,969)	-	(706)	(2,133)	(4,311)	(1,214)
Liabilities	**(36,756)**	**(29,973)**	**(29,200)**	**(19,358)**	**(36,155)**	**(29,584)**
Capital stock	(6,127)	(6,127)	(6,128)	(529)	(6,127)	(6,127)
Retained earnings (deficit)	(9,070)	(15,138)	(21,049)	(37,650)	(12,726)	(16,454)
Dividends	713	1,048	1,753	149	609	1,097
Equity	(14,484)	(20,216)	(25,424)	(38,030)	(18,243)	(21,484)
Liabilities and equity	**(51,240)**	**(50,189)**	**(54,624)**	**(57,388)**	**(54,398)**	**(51,067)**

Source: Management provided information; KPMG analysis

Basis of presentation

The financials presented on this page represent the reported consolidated results of Genfoot Inc., Genfoot America, Genfoot Europe, and Genfoot International. Refer to Appendix 2 for further details on adjustments required for the consolidated results as presented in the audited financial statements.

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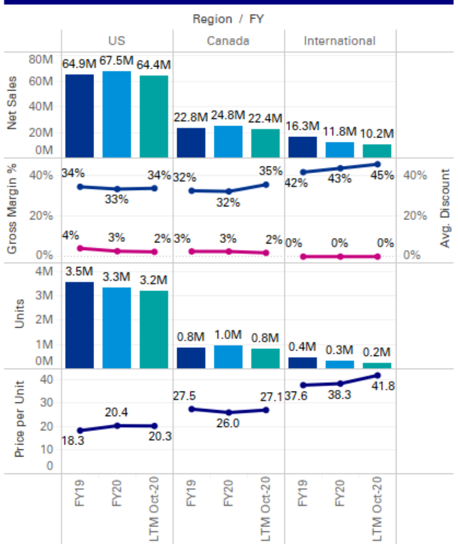
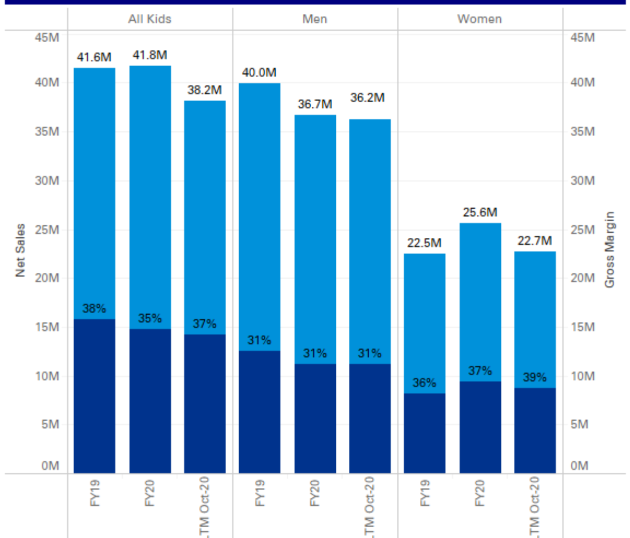
Summary (1/2) - Overview of combined entities

The following presents a summary of the Company's sales and gross margin (in CAD) for GFI, GFA, and GFE (combined).

Sales Trend



Gender



Top Customers

Customer Name	FY19	FY20	LTM Oct-20
WAL-MART	30,014,207	26,914,170	28,478,154
CANADIAN TIRE	5,400,914	6,291,545	6,261,821
AMAZON	7,340,221	5,786,702	5,742,057
ZAPPOS	4,259,463	5,456,619	4,256,576
DSW INC	2,066,339	4,860,619	3,395,806
DICKS SPORTING	1,477,511	1,376,507	3,369,062
LIMANGO GMBH	1,837,584	2,160,009	2,119,548
DESIGNER BRANDS	1,369,459	1,704,306	1,928,534
FGL SPORTS	1,569,143	1,847,448	1,719,802
KOHLS DEPT STORES	1,625,658	1,626,659	1,399,777
BLAIN'S SUPPLY INC	700,115	1,494,050	1,172,414
SOFTMOC INC	1,370,098	1,665,915	1,132,271
INTERSPORT DEUTSCHLAN..	1,449,063	1,254,154	996,281
GLOBO	1,619,963	1,507,967	982,225
ORVA STORES INC	643,124	1,076,992	810,970
FLEET FARM STORE SUPPO..	889,348	1,244,224	783,483
RECREATIONAL EQUIPMENT	734,421	685,569	717,573
FAMOUS FOOTWEAR	420,274	813,851	672,169
SIERRA TRADING POST	576,629	1,164,778	659,163
CHAUSSURES RUBINO	839,780	1,007,669	602,360

Net Sales (0M 20M 40M 60M)

Company
Multiple values

Customer
All

Business Class
All

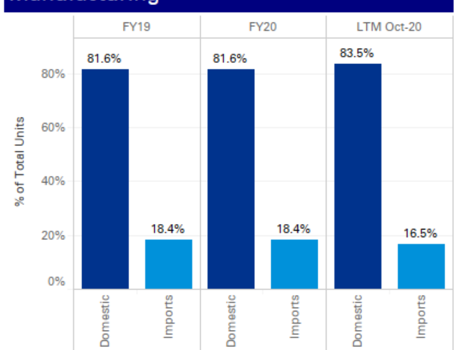
Gender
All Kids
Men
Women

Manufacturing
Domestic
Imports

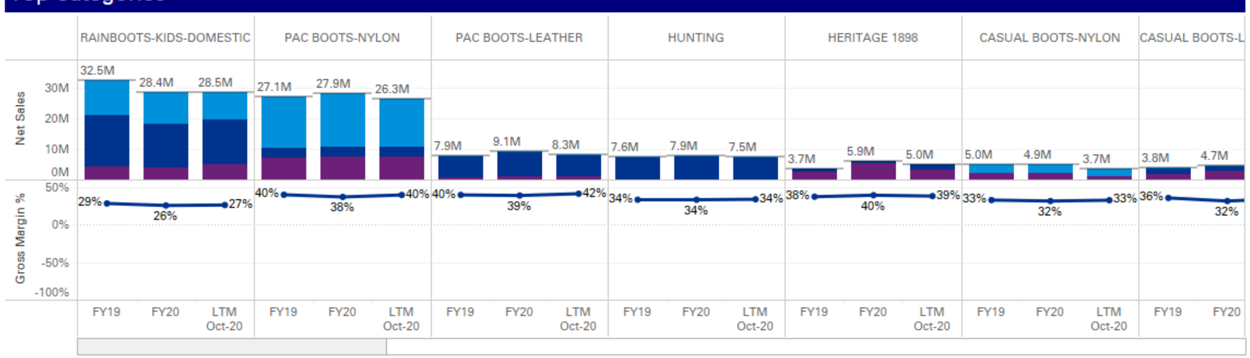
FY
~~FY21~~

Measure Names
GM
Net Sales

Manufacturing



Top Categories



Source: Management provided information; KPMG analysis

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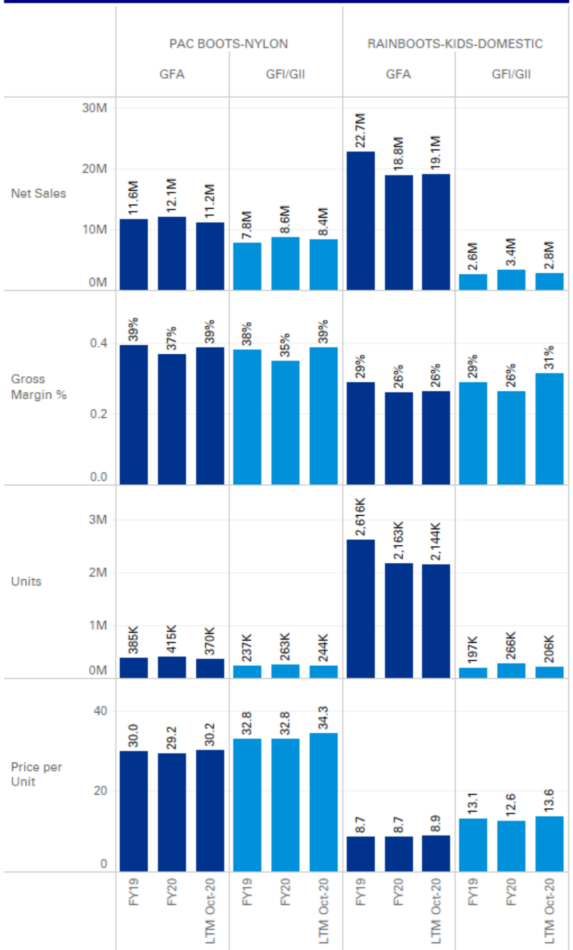
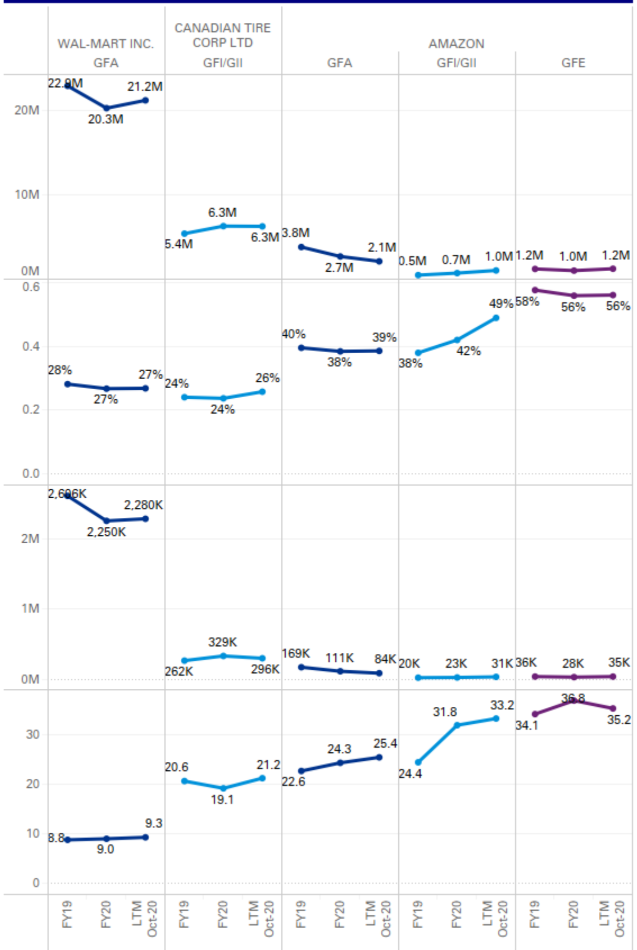
Summary (2/2) - Top categories, customers, and channel

The Company's top product categories (business class), customers, and regions are presented below (in local currency for GFI, GFA, and GFE).

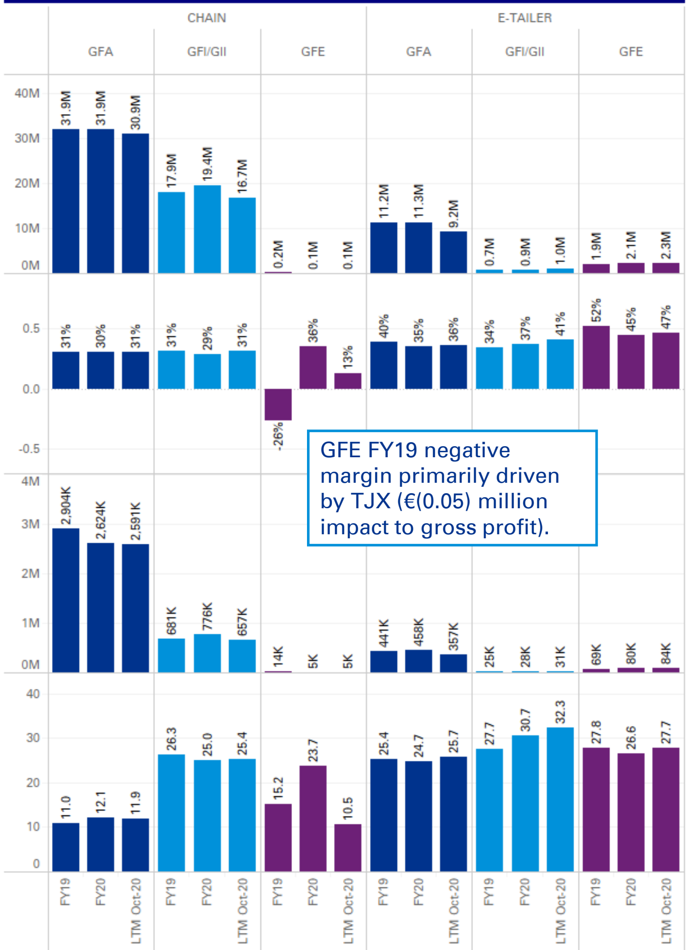
Top Categories



Top Customers



By Channel



GFE FY19 negative margin primarily driven by TJX (€(0.05) million impact to gross profit).

Source: Management provided information; KPMG analysis

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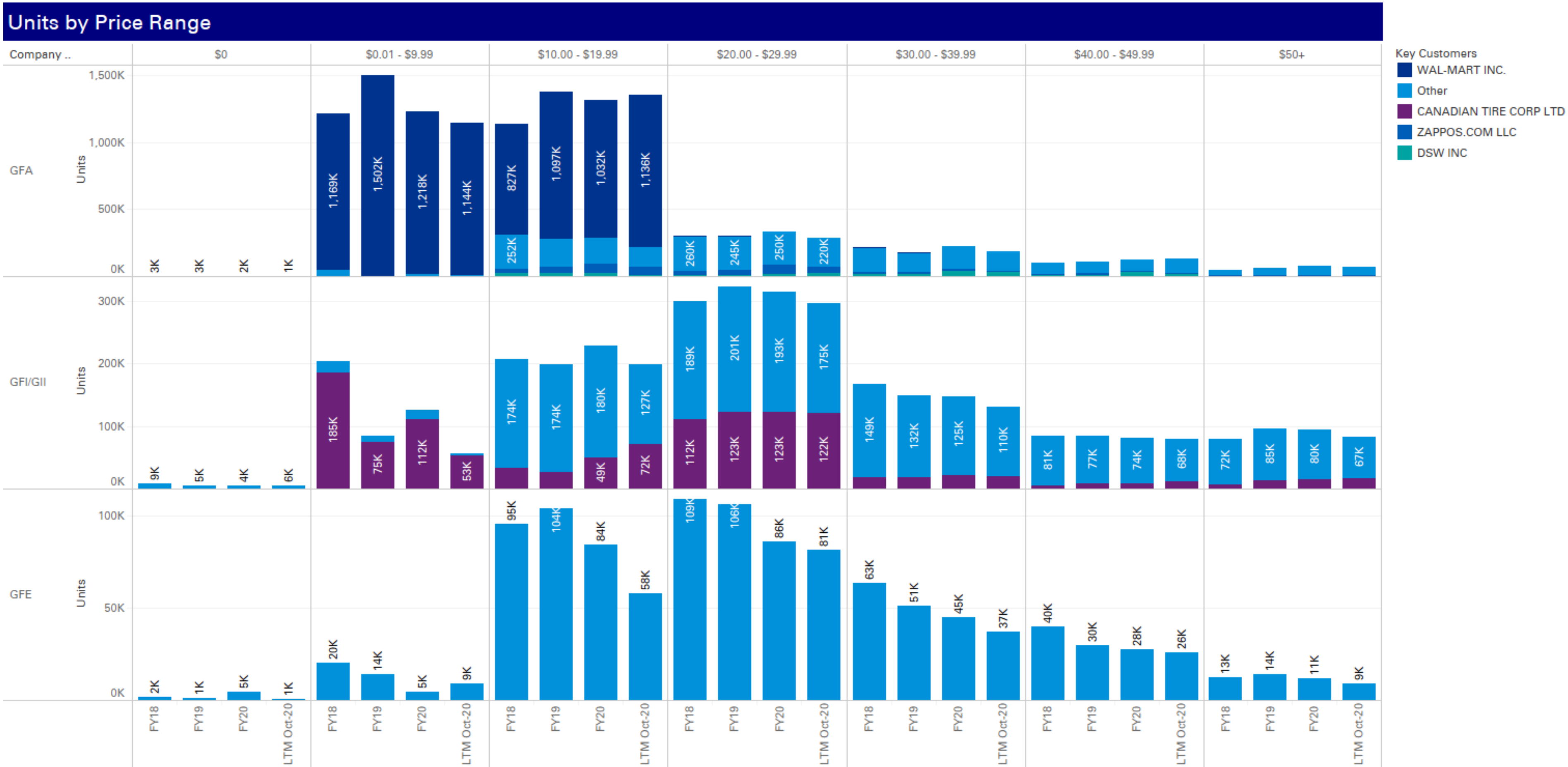
Product Pricing

A significant portion of GFA products are concentrated in the <$20 range, while GFI and GFE has a higher concentration in the $10.00 to $30.00 range.



Please note the different scales for the Y-axis

Source: Management provided information; KPMG analysis

Executive summary

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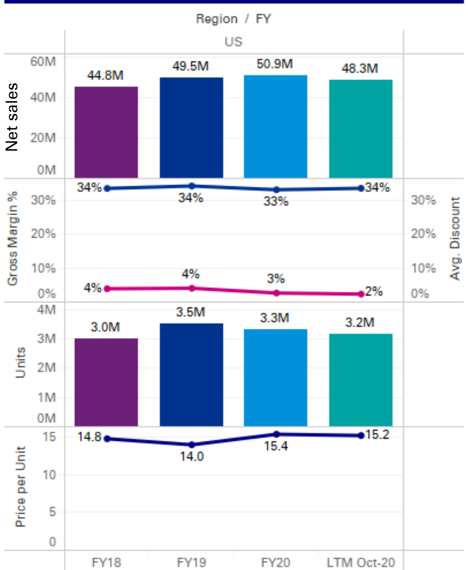
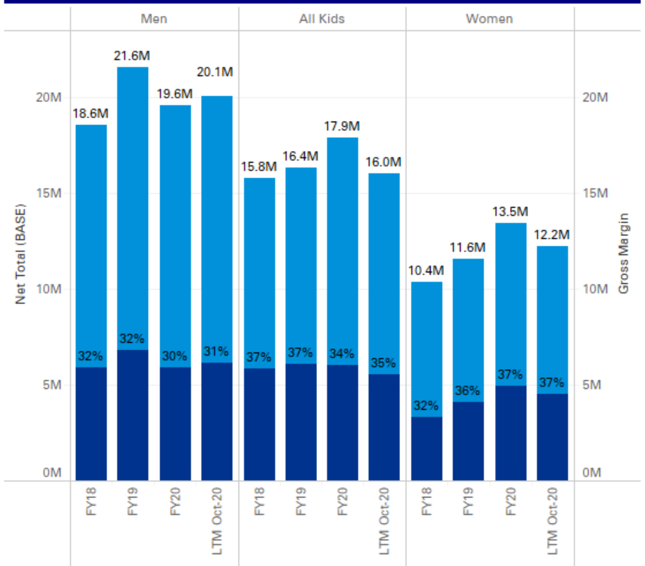
GFA (USA) - Overview

Wal-Mart is the key sales driver for GFA (USA). Overall sales have been consistently trending upwards.

Sales Trend



Gender



Top Customers (Net Total)

FY

Customer	FY18	FY19	FY20	LTM Oct-20
WAL-MART INC.	17,393,347	22,910,963	20,266,045	21,197,473
ZAPPOS.COM LLC	2,501,114	3,241,963	4,122,475	3,203,231
DSW INC	1,265,472	1,567,028	3,677,348	2,568,074
AMAZON.COM SERVICES,INC.	4,636,813	3,811,419	2,693,291	2,118,477
DICKS SPORTING GOODS A/P-				1,540,771
KOHLS DEPT STORES	1,198,269	1,242,260	1,230,124	1,056,242
BLAIN'S SUPPLY INC	567,336	536,893	1,129,264	885,583
DICKS SPORTING-DROP SHIP	64,813	714,719	685,302	696,886
ORVA STORES INC	425,566	492,828	813,720	613,056
FLEET FARM STORE SUPPORT	1,209,672	679,049	940,574	590,008
RECREATIONAL EQUIPMENT	405,149	563,043	518,385	542,327
FAMOUS FOOTWEAR	244,818	321,686	615,897	507,852
SIERRA TRADING POST	436,411	445,666	874,315	494,790
SPORTSMAN'S WAREHOUSE	471,635	372,492	245,463	436,648
MARSHALL'S				397,519
ROGAN'S SHOES INC	195,059	206,322	314,413	362,701
L & M SUPPLY INC	217,615	273,280	339,969	323,209
DICK'S MERCHANDISING & SU	317,762	404,791	357,389	309,593
BACKCOUNTRY.COM	172,948	182,591	191,103	278,338
RANCH & HOME SUPPLY LLC	112,254	194,001	280,059	254,721
	0M 20M 40M	0M 20M 40M	0M 20M 40M	0M 20M 40M
	Net Total (BAS..	Net Total (BAS..	Net Total (BAS..	Net Total (BAS..

Company
GFA

Customer
All

Business Class
All

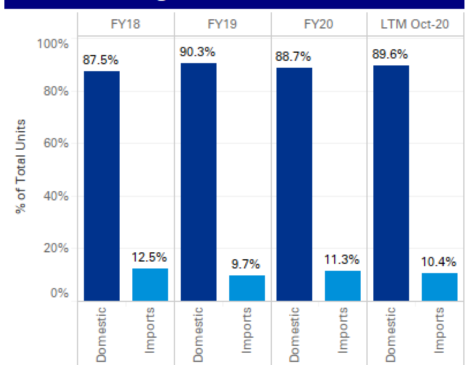
Gender
- All Kids
- Men
- Women

Manufacturing
- Domestic
- Imports

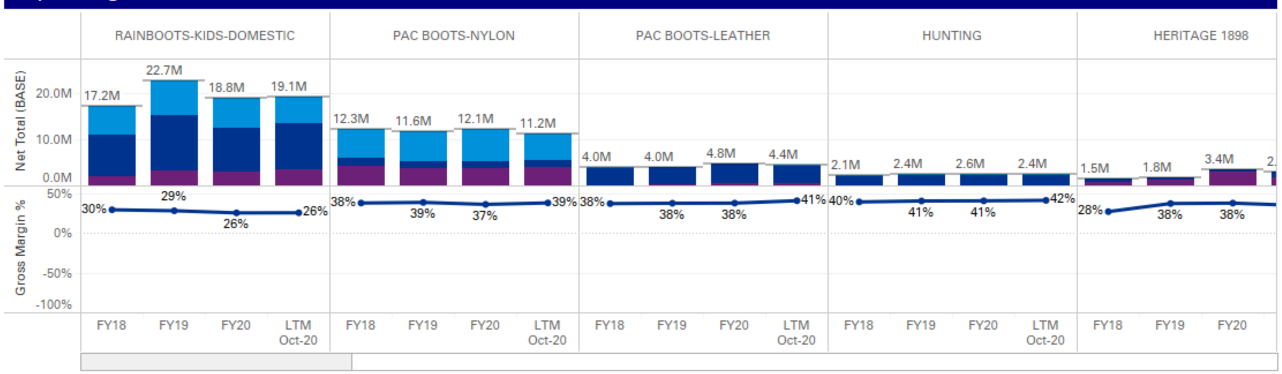
FY
~~FY21~~

Measure Names
- GM
- Net Total (BASE)

Manufacturing



Top Categories



Source: Management provided information; KPMG analysis

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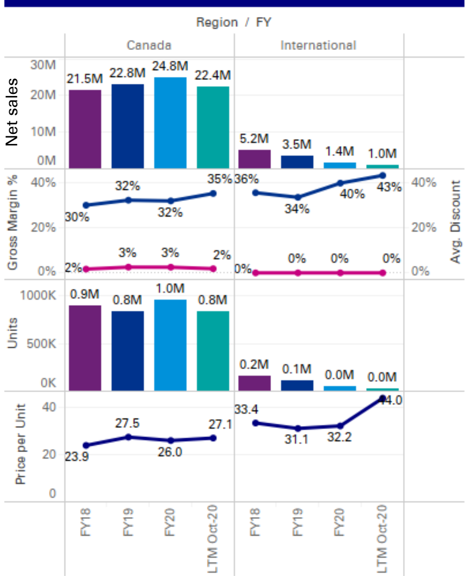
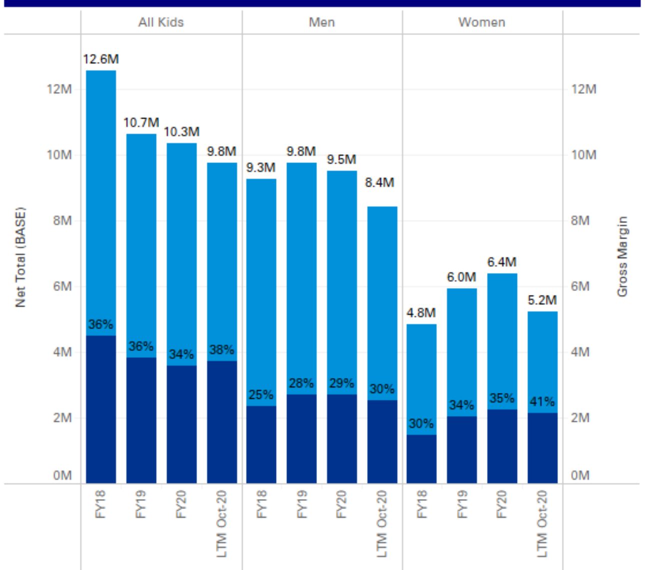
GFI (Canada) - Overview

Canadian Tire is a key contributor to GFI sales with a broader base of next tier customers.

Sales Trend



Gender



Top Customers (Net Total)

Customer	FY18	FY19	FY20	LTM Oct-20
CANADIAN TIRE CORP LTD	5,954,869	5,400,914	6,291,545	6,261,821
DESIGNER BRANDS INC.	1,181,091	1,369,459	1,704,306	1,928,534
SOFTMOC INC	1,021,606	1,370,098	1,665,915	1,132,271
GLOBO	1,378,333	1,619,963	1,507,967	982,225
FGL SPORTS LTD SPORT CHEK	365,457	813,791	993,033	928,542
AMAZON.COM.CA INC	80,992	486,927	623,136	750,665
FGL SPORTS LTEE	447,662	711,004	736,387	722,253
CHAUSSURES RUBINO	761,474	839,780	1,007,669	602,360
THE NORTH WEST CO INC	274,500	307,216	412,387	536,633
2169-5762 QUEBEC INC	256,758	247,679	345,953	380,741
TJX CANADA / WMI		170,550	96,239	360,672
B2C - QUEBEC	50,255	136,424	161,288	350,393
COTE RECO INC	346,972	167,923	530,186	331,143
CALERES CANADA INC	334,544	369,689	392,259	324,743
CABELA'S CANADA	415,135	263,207	295,675	293,307
GNRSC LLC. - AMAZON.CA			102,048	288,741
B2C - ONTARIO	73,686	112,747	160,057	283,788
FACTORY SHOE	118,676	270,784	335,127	271,360
ALTITUDE-SPORTS FACTURATI	130,190	188,011	218,681	231,560
SAIL PLEIN AIR INC	402,815	565,146	414,113	226,946

0M 5M 10M — Net Total (BAS..

Company
Multiple values

Customer
All

Business Class
All

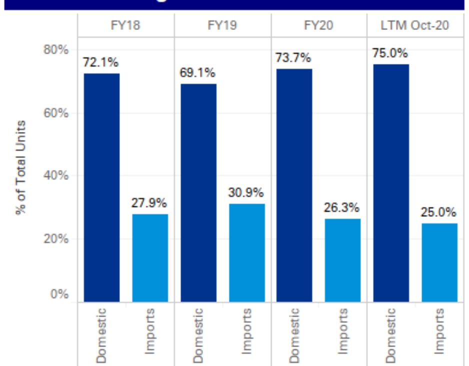
Gender
All Kids
Men
Women

Manufacturing
Domestic
Imports

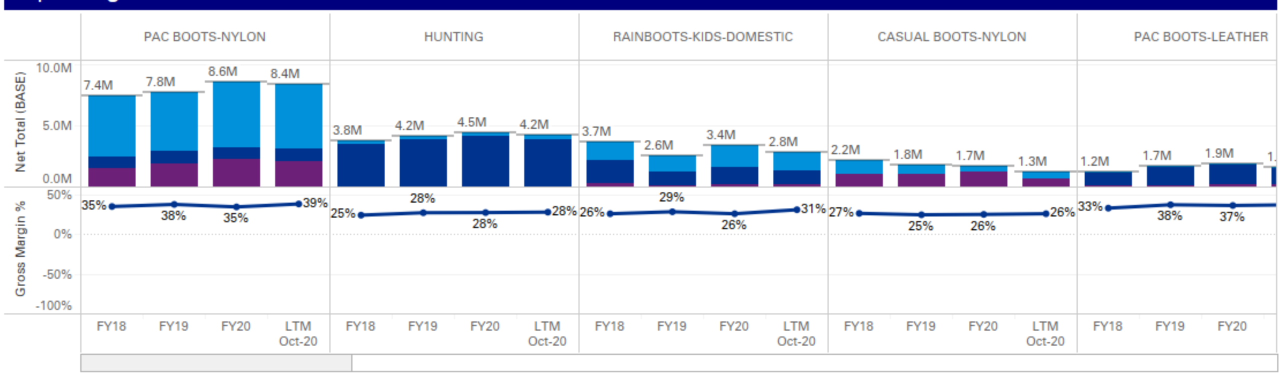
FY
~~FY21~~

Measure Names
GM
Net Total (BASE)

Manufacturing



Top Categories



Source: Management provided information; KPMG analysis

Executive summary

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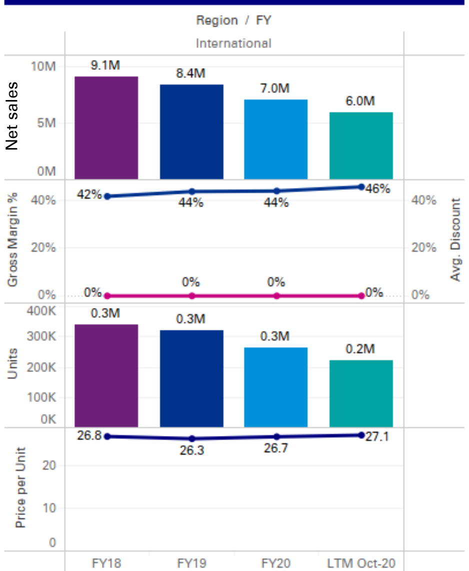
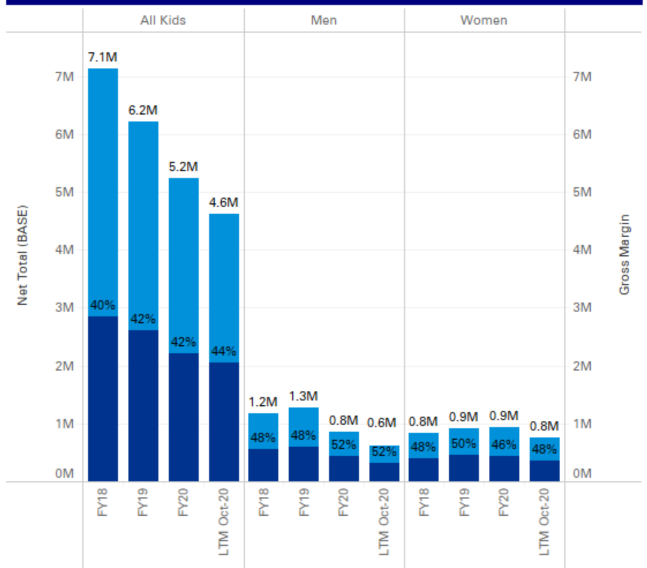
GFE (Europe) - Overview

Two customers, Limango and Amazon are key contributors to GFE. GFE is experiencing a decline in the kids sales category in the past years

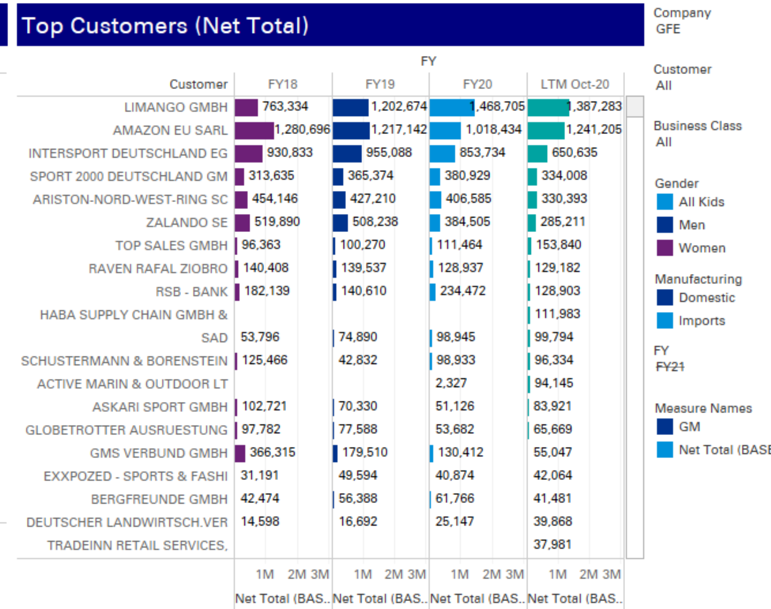
Sales Trend



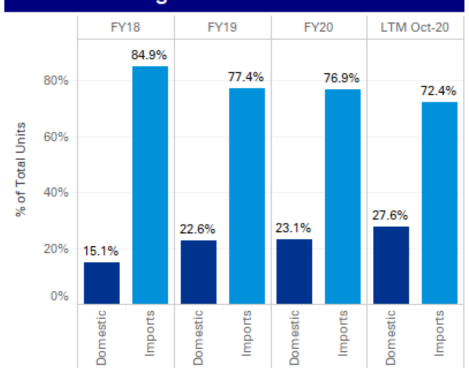
Gender



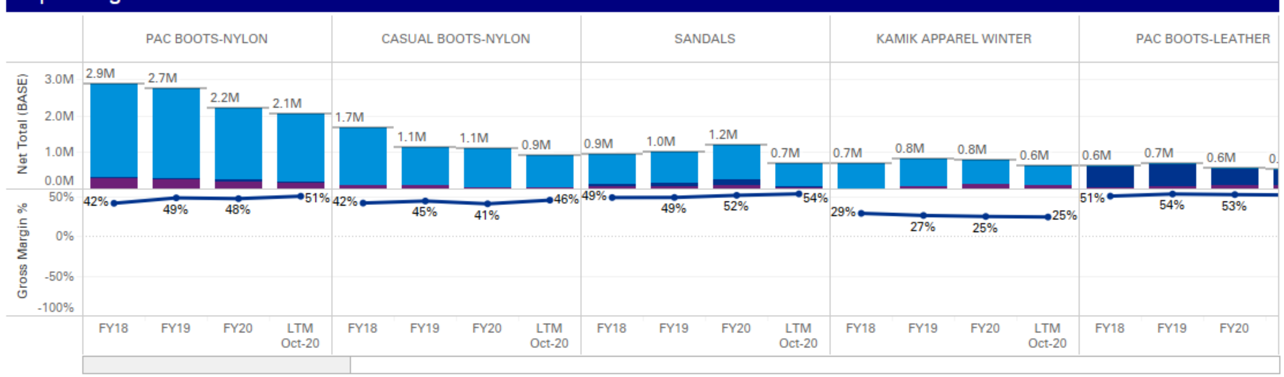
Top Customers (Net Total)



Manufacturing



Top Categories



Source: Management provided information; KPMG analysis

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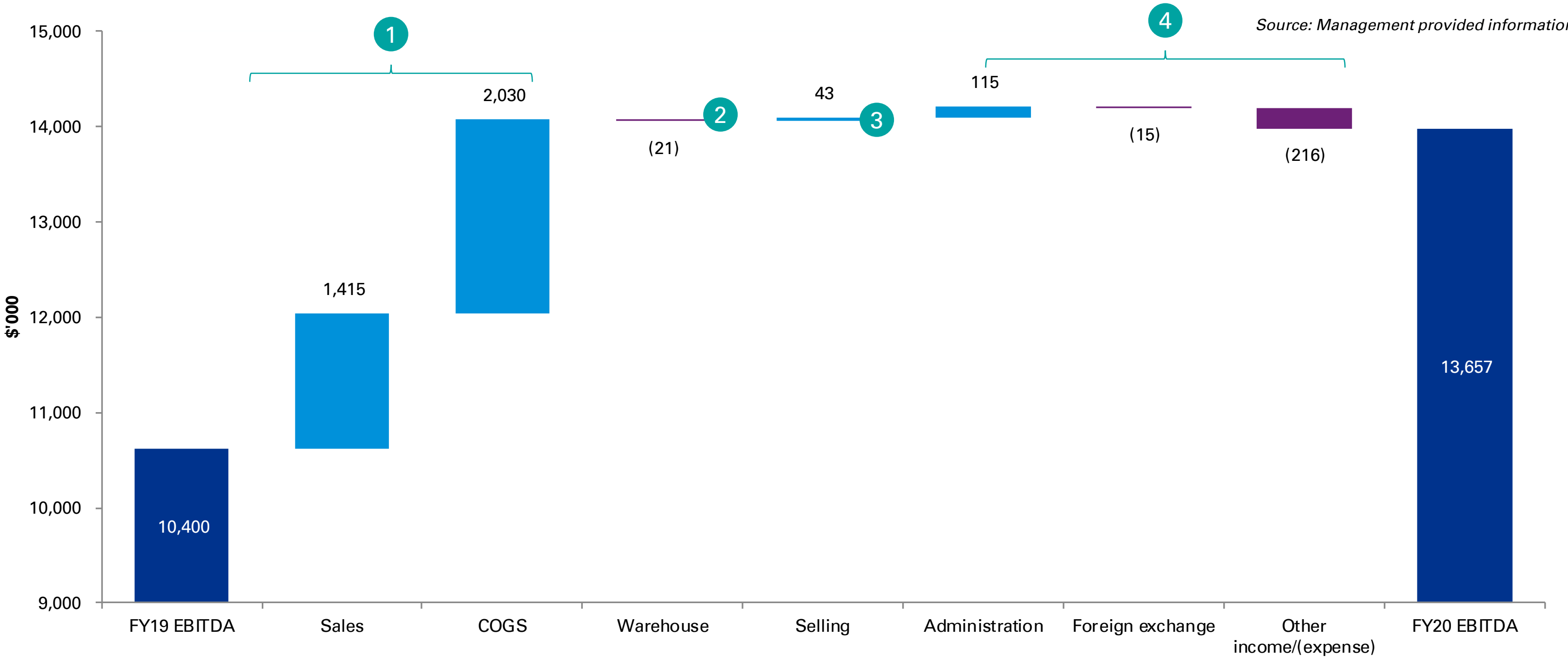
Adjusted EBITDA bridge (1/2)

The following chart illustrates an adjusted EBITDA bridge, net of audit consolidation, Management, and diligence adjustments. Adjusted EBITDA increased from $10.4 million in FY19 to $13.7 million in FY20, primarily driven by increases in sales and lower cost of goods sold.

Source: Management provided information; KPMG analysis



1. **Gross profit:** Top customer margin gainers include DSW (+$776k; +114%), Blain's Supply (+$323k; +111%), and Zappos (+$333k; +18%). These were offset by margin declines from Walmart (-$1.3m; -15%) and Amazon (-$717k; -22%). Product margin gainers include the ICESTORM insulated rubber boots (+$0.9 million; introduced late FY19), SNOWGYPSY3 nylon pac boots (+$0.7 million; new product), and SIENNAMID Heritage 1898 boots (+$0.7 million; +455%). Product margin decliners include domestic kid's rainboots MARSHLAND (-$0.9 million; -22%) and CHOREBOOT (-$0.8 million; -30%). Also includes a $2 million decrease in COGS attributed to positive manufacturing variances.

   Gainers and decliners in margin are based on the sales database which does not include positive manufacturing variances experience in the period among other reconciling items. Refer to reconciliations in the appendix for details.

2. **Warehouse:** Comprised of decreases of $0.2 million in logistics, offset by increases of $142,000 in wages and benefits and $106,000 in pallets and other miscellaneous.

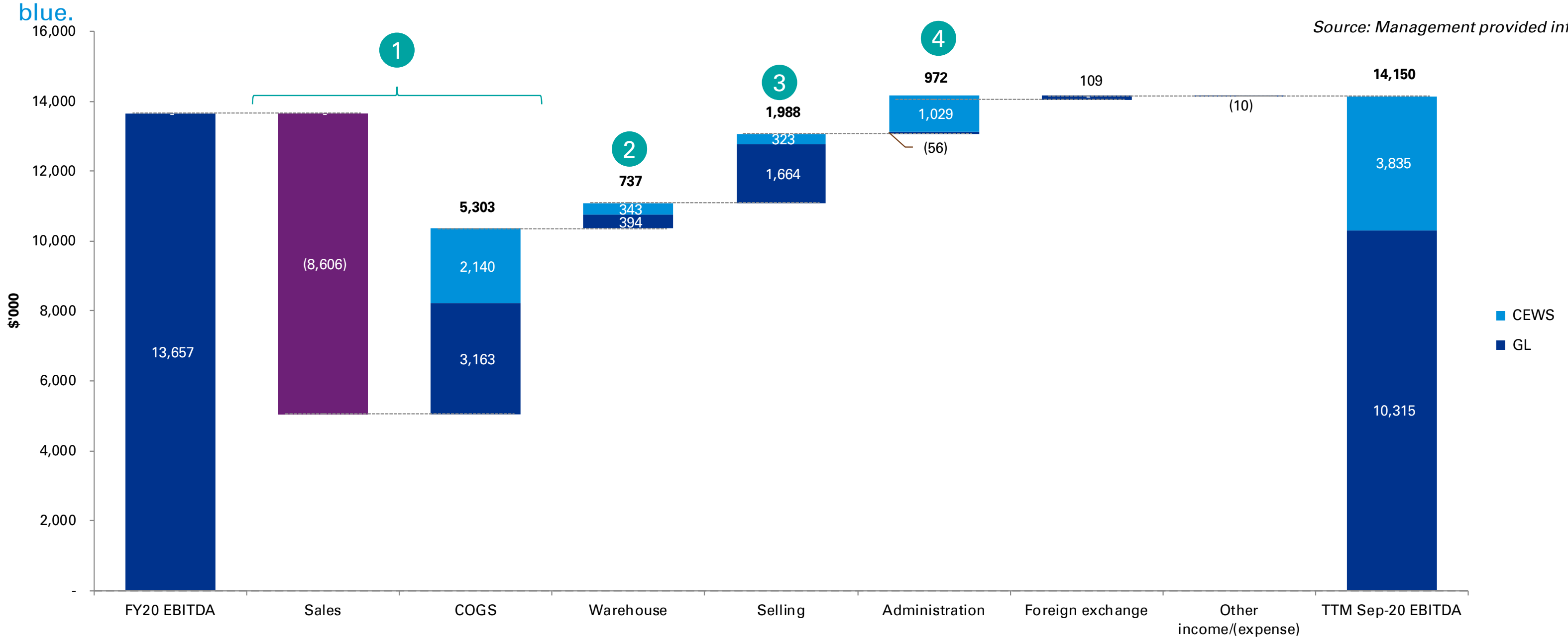
3. **Selling:** Decrease in advertising of $0.3 million offset by increase in spend from samples expense ($0.1 million) and shoe shows ($0.2 million). Overall costs have remained consistent year-over-year and P&L movement is driven by expense geography.

4. **Administration and Other income/(expense):** Overall consistent from FY19 to FY20, with movement consisting of small offsetting impacts to various components such as bad debt expense, professional fees, salaries, bank service charges, royalties, and the Consolidation entities.

Adjusted EBITDA bridge (2/2)

The following chart illustrates an adjusted EBITDA bridge, net of audit consolidation, Management, and diligence adjustments. Adjusted EBITDA remained relatively flat, increasing from $13.7 million in FY20 to $14.2 million in TTM Sep-20. Activity was driven by a reduction in sales and offsetting reduction in salaries and marketing spend, and received CEWS (government assistance) as a result of the pandemic. CEWS impact is presented in light blue.

Source: Management provided information; KPMG analysis



Note: The adjusted EBITDA includes the impact of COVID (e.g. lower sales and reduction in certain costs). See QofE Other Consideration item A for details.

1. **Gross profit:** Comprised of a $8.6 million decrease in sales offset by a $5.3 million decrease in cost of goods sold. Top sales decliners from FY20 to TTM Sep-20 include Globo (-$866k; -or decline of 57%), Zappos (-$774k; -14%), and DSW (-$751k; -15%. Sales were primarily impacted by the pandemic.

   Top product margin decliners include the SIENNAMID (-$441k; -54%), SNOWGYPSY3 (-$214k; -29%), and MOMENTUM2 (-$218k; -17%). The top product margin gainers (excluding new products) include the NORA (+$181k; +109%), FORRESTER (+$81k; +25%), and ICESTORM (+$60k; +6%).

   Gainers and decliners in margin are based on the sales database which does not include positive manufacturing variances experience in the period among other reconciling items. Refer to reconciliations in the appendix for details.

2. **Warehouse:** Primarily driven by a decreases in wages of $0.6 million.

3. **Selling:** Decreases in salaries of $0.5 million, commissions of $0.5 million, and combined decreases of $0.9 million for advertising related expenses such as sample expense, product development, and shoe shows. All reductions are in response to COVID-19: (i) salaries decreased from the Company closing its factory for two weeks, and receiving CEWS benefits; (ii) commissions decreased as a result of lower sales in the YTD Sep-20 period; and (iii) advertising expenses decreased as the Company cancelled shoe shoes, travel, and scaled back on its advertising budget.

4. **Administration:** Driven by a reduction in salaries of $1 million, driven by CEWS benefits as well as a 20% reduction in salary from mid-April to mid-July 2020.

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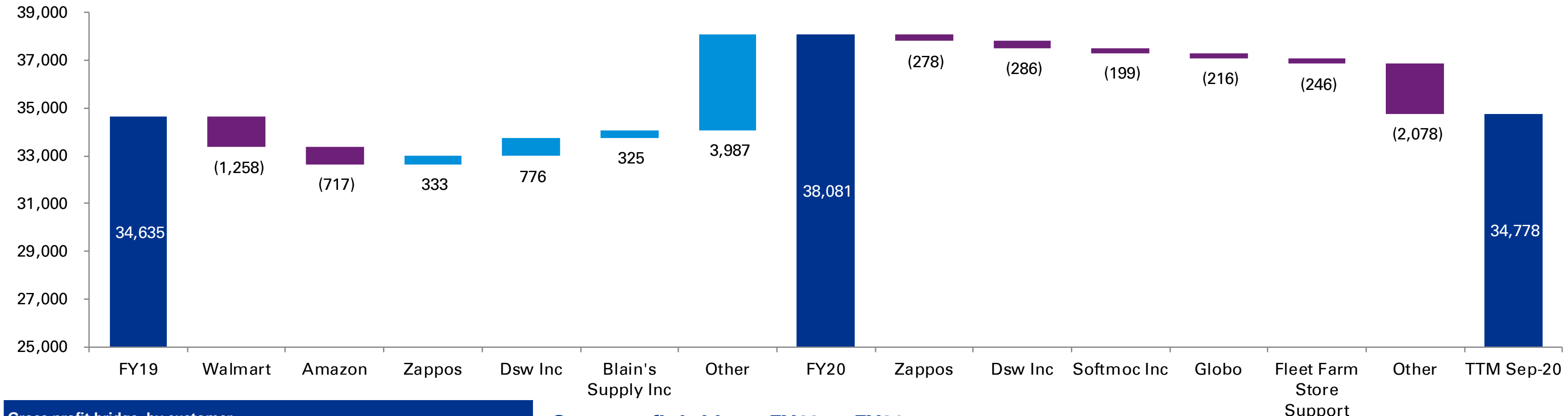
Gross profit bridge (1/2) - By customer

The following chart illustrates a gross profit bridge based on the Management provided sales and cost of goods sold database. Refer to Appendix 3 for a reconciliation of the database to the general ledger.

Gross profit bridge, by customer

Source: Management provided information; KPMG analysis



Gross profit bridge, by customer

$'000	Total	Price	Vol	Recon
FY19	**34,635**			
Walmart	(1,258)	(104)	(1,155)	-
Amazon	(717)	186	(903)	-
Zappos	333	(382)	715	-
Dsw Inc	776	111	665	-
Blain's Supply Inc	325	(78)	403	-
Other	3,987	(1,200)	764	4,422
FY20	**38,081**	**(1,467)**	**490**	**4,422**
Zappos	(278)	(3)	(276)	-
Dsw Inc	(286)	(75)	(211)	-
Softmoc Inc	(199)	(35)	(164)	-
Globo	(216)	(13)	(203)	-
Fleet Farm Store Support	(246)	1	(246)	-
Other	(2,078)	1,045	(2,420)	(702)
TTM Sep-20	**34,778**	**(548)**	**(3,030)**	**3,720**

Source: Management provided information; KPMG analysis

Gross profit bridge – FY19 to FY20

- **Walmart:** Decrease in gross profit of $1.3 million primarily attributable to volume (per Management, no specific drivers for the decrease).
- **Amazon:** Decrease in gross margin of $0.7 million primarily due to volume (caused by poor SEO after the Company updated SKUs on its Amazon listings). Additionally, the Company reduced the number of SKUs on Amazon due to the costs of handling individual orders.
- **Zappos:** Increase in gross margin driven by volume resulting as the Company redirected SKUs formerly on Amazon.
- **DSW Inc:** Increase gross profit due to growth in the recently introduced Women's segment at DSW (previously only sold Kids segment).
- **Blain's Supply Inc:** Gross profit increase is primarily volume-driven (in FY19, Blain's purchased 18 products vs. 28 in FY20).
- **Other:** Primarily due to the change in reconciling items between the sales database and general ledger. Refer to Appendix 3 for details.

Gross profit bridge – FY20 to TTM Sep-20

- The decrease in gross profit from FY20 to TTM Sep-20 is volume-driven as a result of COVID-19, with the largest product contributors presented in the bridge above.
- The ASP for the Company's customers, outside of the top 25, increased from FY20 to TTM Sep-20, partially offsetting the volume-driven decline.

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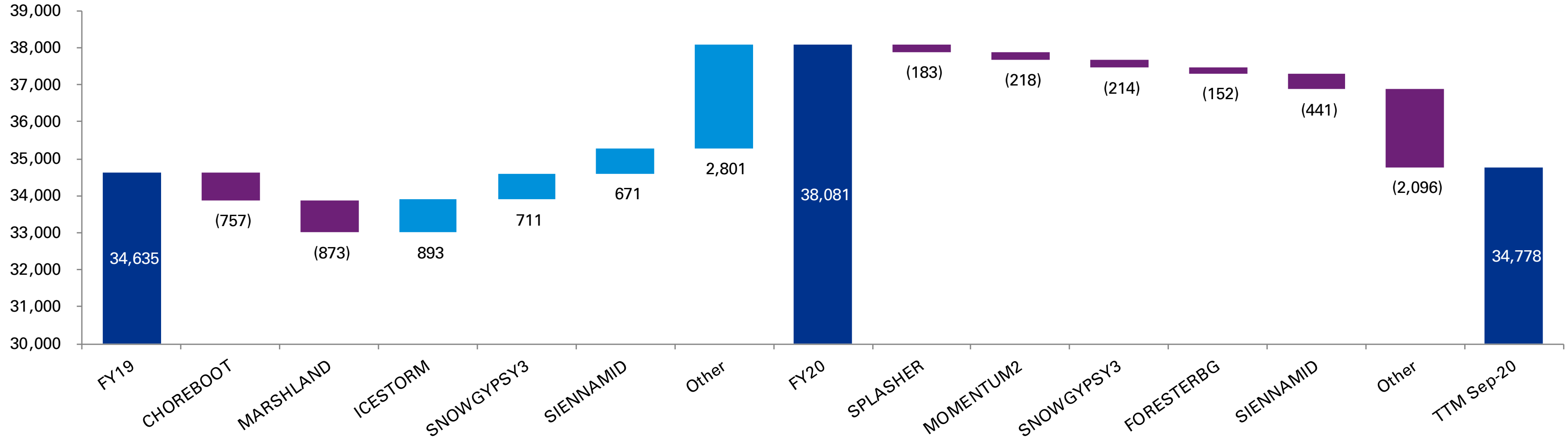
Gross profit bridge (2/2) - By product

Continued from previous page.

Gross profit bridge, by product

Source: Management provided information; KPMG analysis



Gross profit bridge, by product

$'000	Total	Price	Vol	Recon
FY19	**34,635**			
CHOREBOOT	(757)	(126)	(631)	-
MARSHLAND	(873)	(265)	(609)	-
ICESTORM	893	71	822	-
SNOWGYPSY3	711	711	-	-
SIENNAMID	671	(64)	735	-
Other	2,801	(214)	(1,407)	4,422
FY20	**38,081**	**114**	**(1,090)**	**4,422**
SPLASHER	(183)	6	(189)	-
MOMENTUM2	(218)	79	(297)	-
SNOWGYPSY3	(214)	6	(220)	-
FORESTERBG	(152)	(14)	(138)	-
SIENNAMID	(441)	32	(472)	-
Other	(2,096)	719	(2,112)	(702)
TTM Sep-20	**34,778**	**942**	**(4,519)**	**3,720**

Source: Management provided information; KPMG analysis

Gross profit bridge – FY19 to FY20

- **CHOREBOOT:** Decrease in gross profit of $0.8 million primarily driven by volume (only sold to Walmart).
- **MARSHLAND:** Decrease in gross profit of $0.9 million primarily volume-drive. Similar to CHOREBOOT, this product is only sold to Walmart).
- **ICESTORM:** New product launched in FY19, resulting in positive volume impact to gross profit (FY20 reflects a full year of sales).
- **SNOWGYPSY3:** New product introduced in FY20.
- **SIENNAMID:** Gross profit increase driven by DSW volumes (SIENNAMID is a Women's product newly introduced to DSW).
- **Other:** Primarily due to the change in reconciling items between the sales database and general ledger. Refer to Appendix 3 for details.

Gross profit bridge – FY20 to TTM Sep-20

- The decrease in gross profit from FY20 to TTM Sep-20 is volume-driven as a result of COVID-19, with the largest product contributors presented in the bridge above.
- The volume declines are partially offset by ASP increases in the Company's products outside of the top 25 (by sales dollars).

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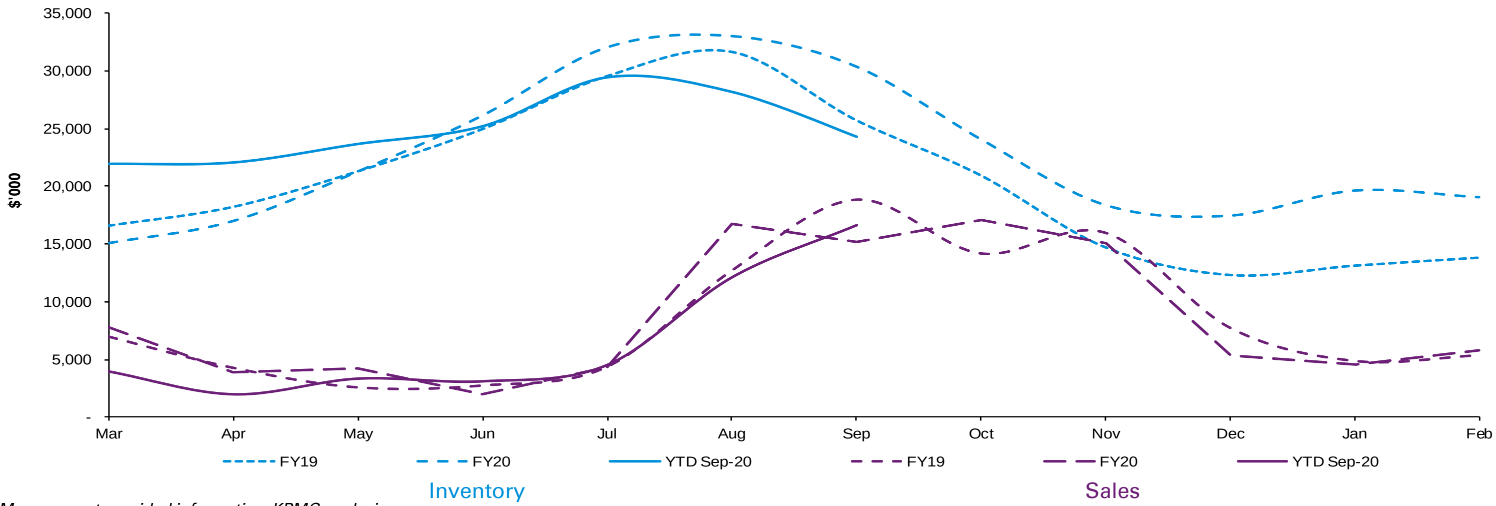
Seasonality

The below chart illustrates inventory (blue) and sales (purple) seasonality. The Company's peak sales season is from August to November. Due to the seasonality of the business, unsold inventory is generally held to the following sales season, resulting in unfavourable DIOs.

Inventory and sales seasonality



Source: Management provided information; KPMG analysis

Sales

- For most customers, the Company formalizes their winter booking program in December and receives orders in March for delivery in the fall/winter. For Walmart and Canadian Tire, sales booking discussions are held on a weekly basis; details vary by customer.
- Sales are concentrated from August to November to retailers for the winter season.
- Discounts are determined at the beginning of the year based on account strength and order sizes. Discounts are recorded as a reduction to sales in the general ledger. Early pay discounts are abnormal but occur in some cases (e.g. Canadian Tire).

Inventory

- Once sales bookings are received in March, the Company begins production and builds inventory balances primarily from April to August, and ends production at the end of November.
- The Company negotiates key supplier contracts annually in February. Payment terms for suppliers are generally 45-60 days.
- Inventory is valued at standard cost which is developed annually in February. Variances to standard cost are tracked throughout the year but recognition of variances is deferred to the second half of the year to avoid skewing gross margin due to minimal sales in the first half of the year.

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Key findings (1/5) - Quality of earnings

Issue	Summary observations	Key analysis
Quality of earnings *TTM Sep-20 reported EBITDA of $13.6 million increases to $14.9 million after inclusion of consolidation entities and Management adjustments.* *EBITDA decreases to $14.2 million after diligence adjustments.*	See below	Page 25 to 35

- The table below summarize the company's adjusted EBITDA for FY19, FY20 and TTM Sep-20:

Quality of earnings

$'000	FY19	FY20	TTM Sep-20
Net sales, reported	**101,272**	**102,209**	**93,648**
Adjustments	(50)	429	384
Net sales, adjusted	**101,222**	**102,638**	**94,032**
Reported EBITDA, Operating entities	**8,949**	**12,749**	**13,627**
Consolidation entities	201	767	794
Reported EBITDA, Operating and Other entities	**9,150**	**13,515**	**14,420**
Management adjustments	1,101	920	455
EBITDA, Management adjusted	**10,251**	**14,435**	**14,875**
Diligence adjustments	149	(778)	(725)
EBITDA, Diligence adjusted	**10,400**	**13,657**	**14,150**
EBITDA margin, Diligence adjusted	*10.3%*	*13.3%*	*15.0%*

Source: Management provided information; KPMG analysis

- Significant management adjustments to EBITDA in TTM Sep-20, include the following:
  - **Over provision of accruals – AFDA, AFCN, and General (increase of $1.4 million):** At year-end for FY20, the company recorded additional provisions for AFDA and AFCN to account for potential losses due to COVID-19. Furthermore, the Company also recorded a general accrual of $0.5 million for income deferral purposes. These entries have been added back by Management.
  - **Litigation settlement (Europe) (decrease of $1.0 million):** In FY20, the Company recorded a litigation settlement gain of $700,000 as well as recovery of legal expenses of $311,000 associated with bankruptcy proceedings for a distributor in Norway. The adjustment removes these proceeds on the basis they are exceptional in nature.
- Significant diligence adjustments to EBITDA in TTM Sep-20, include the following:
  - **Foreign exchange (decrease of $0.6 million):** Removes FX (gain)/loss in EBITDA arising from translation of foreign currency results and foreign currency hedging activity.

KPMG

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Key findings (2/5) - Inventory aging

Issue	Summary observations	Key analysis
Inventory aging		Appendix 6

Indicative inventory aging has increased from February 2019 to September 2020.

Write-downs are judgmentally determined by Mr. Stephen Cook (co-owner).

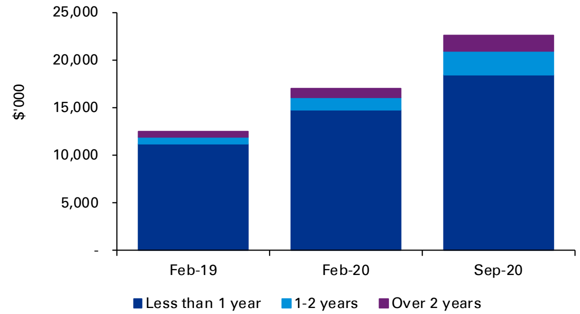
While we have not proposed an adjustment to NWC for potentially aged inventory, Client should consider including a mechanism in the SPA completion accounts to formulaically quantify inventory reserves at close.

Indicative FG inventory aging (excl. New Product)

	Gross inventory			Provision		
	Feb-19	Feb-20	Sep-20	Feb-19	Feb-20	Sep-20
Quantity (units)						
GFI	28,259	17,429	79,657			
GFA	42,177	80,597	113,297			
GFE	15,990	19,393	15,985			
Total aged > 1 year	86,426	117,419	208,939			
Total FG inventory	**861,643**	**1,061,973**	**1,163,960**			
% of total	*10%*	*11%*	*18%*			
Cost ($'000)						
GFI	247	251	1,723	(42)	(81)	*n.q.*
GFA	836	1,803	2,236	(246)	(347)	*n.q.*
GFE	131	202	278	(53)	(52)	*n.q.*
Total aged > 1 year	1,214	2,256	4,237	(341)	(480)	*n.q.*
Total FG inventory	**12,440**	**17,036**	**22,608**	**(1,728)**	**(2,072)**	***n.q.***
% of total	*10%*	*13%*	*19%*			
Recon to TB						
Provision	(1,728)	(2,072)	*n.q.*			
In-transit	245	125	*n.q.*			
Unreconciled	26	(1)	*n.q.*			
FG Inv, TB (before elim)	10,984	15,088	22,569			

Source: Management provided information; KPMG analysis

Indicative inventory aging (excl. New Product)



Source: Management provided information; KPMG analysis

- The above analysis illustrates the indicative finished goods aging profile (based on number of years sales on hand) for February 2019, February 2020, and September 2020. The analysis excludes inventory related to new products (i.e. products with no sales prior to the current fiscal year are treated as current). Overall, the Company's inventory aging profile has deteriorated from February 2019 to September 2020.
- The Company maintains a reserve for inventory write-downs (approximately 2% of sales), however, the detailed review for slow-moving finished goods only occurs at year end. Management reviews inventory for potential write-downs by considering: quantity on hand, selling price, season, etc. but no formal process exists (i.e. the provision is judgmentally determined). Furthermore, the Company's inventory reports do not include aging.
- In the above summary of $4.2 million of inventory aged over 1 year as at September 2020, on a sample basis, Management has identified 10 styles totaling $2.4 million which relate to 'staple stock' – inventory that Client should consider for SPA purposes.

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Key findings (3/5) - Net working capital

Issue	Summary observations	Key analysis
Net working capital		Page 38 to 49

Net working capital

The average reported net working capital for TTM Sep-20 is $30.9 million.

Subsequent to management and diligence adjustments, and impact of consolidation entities, net working capital decreases to $30.8 million.

- The table below summarizes the Company's net working capital trends subsequent to adjustments for FY19, FY20 and TTM Sep-20:

Net working capital

$'000	As at 28-Feb-19	As at 29-Feb-20	As at 30-Sep-20	Average FY19	Average FY20	Average TTM Sep-20
Current assets						
Accounts receivable	12,927	10,113	22,059	19,530	17,340	15,431
Prepaid expenses and deposits	2,028	2,137	2,608	2,109	2,558	2,343
Inventory	13,855	19,062	24,276	20,263	22,788	22,773
Total current assets	28,810	31,313	48,943	41,903	42,686	40,547
Current liabilities						
Accounts payable and accrued liabilities	(8,523)	(8,380)	(12,844)	(9,606)	(11,356)	(9,652)
Total current liabilities	(8,523)	(8,380)	(12,844)	(9,606)	(11,356)	(9,652)
Reported NWC, Operating entities	**20,288**	**22,932**	**36,099**	**32,296**	**31,330**	**30,895**
Management adjustments	653	(3,528)	4,783	(1,451)	(1,110)	(669)
NWC, Management adjusted	**20,940**	**19,404**	**40,882**	**30,846**	**30,219**	**30,226**
Diligence adjustments	153	2,849	31	146	1,035	746
NWC, Diligence adjusted	**21,093**	**22,253**	**40,913**	**30,992**	**31,255**	**30,972**
As % of TTM net sales	*20.8%*	*21.7%*	*43.5%*	*30.6%*	*30.3%*	*31.2%*
Consolidation entities				(634)	(153)	(153)
NWC, Diligence adj including Other entities				**30,358**	**31,102**	**30,819**

Source: Management provided information; KPMG analysis

- Significant management adjustments to average net working capital in TTM Sep-20, include the following:
  - **Inventory normalization (decrease of $3.1 million):** According to Management, inventory on-hand was greater than normal from Sep-19 to May-20 due to slow down in sales to Walmart and SEO issues with revised style names on Amazon.ca. Management has proposed an adjustment to normalize inventory.
  - **Intercompany transaction (increase of $0.8 million):** An adjustment is proposed to properly eliminate intercompany balances in net working capital.
  - **CEWS impact to inventory (increase of $0.7 million):** Inventory in YTD Sep-20 is undervalued due to labour cost relief from CEWS – an adjustment is proposed to increase the book value.
- Significant diligence adjustments to average net working capital in TTM Sep-20, include the following:
  - **Inventory normalization (increase of $0.7 million):** Reflects additional sensitivity to Management's inventory normalization calculation using a trailing three month DIO calculation (compared to the Company's count-forward DIO approach).

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Key findings (4/5) - Net debt

Issue	Summary observations	Key analysis
Net debt *As at September 30, 2020, the Company's reported net debt position is $15.2 million, primarily consisting of long-term debt.* *Subsequent to proposed adjustments, the adjusted net debt increases to $25.7 million.* *Except for the Company's demand loans, the majority of the Company's debt is with related parties.*	■ The table below summarizes the Company's net debt position as at September 30, 2020. (see table below)	Page 51

Net debt	
$'000	**30-Sep-20**
Reported	
Cash and cash equivalents	**(7,650)**
Intercompany balances, net	9,241
Income taxes payable	1,768
Balance on redemption of shares	(5,463)
Loans payable	(12,343)
Long-term debt	(706)
Debt and Debt-like items	**(7,502)**
Net debt, reported	**(15,152)**
Adjustments	(10,543)
Net debt, adjusted	**(25,695)**

Source: Management provided information; KPMG analysis

- Significant adjustments include the following (see supporting analysis for remaining adjustments overview):
  - **Intercompany balances (decrease of $9.2 million):** Represents cash-like intercompany amounts which eliminate at year end upon consolidation. As September is not a year-end month, the balance is included as an adjustment.
  - **Holding company debt (decrease of $1.3 million)**: Reflects debt from the Company's holding companies (which form part of the combined audited financials). The results from the holding companies are only included at year end as part of the consolidation process.
- The Company utilizes derivative instruments (typically entered into in February and settled from October – January) to manage its FX exposure. As of the date of this report, the remaining contract is a put option to sell US$4 million at a rate of 1.335 (TD holds the option and the Company is the counterparty). This contract settles on January 15, 2021. If the contemplated transaction closes at the end of January, there will be no net debt impact from hedging instruments.

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Key findings (5/5) - Accounting function and financial reporting

Issue	Summary observations	Key analysis
Accounting function and financial reporting *The Company's accounting function is centralized to a small accounting team in Canada. There is a high degree of reliance on the VP Finance, which is common for a private business of this size.* *Similar to other private companies, accounting policies are often judgmentally or applied periodically (at year-end).* *Post-transaction, additional oversight may be required to formalize certain accounting processes.*	■ **Accounting processes:** — The Company's accounting function is largely performed by Mr. Irwin Kastner, Vice President of Finance. Supporting local staff include four accounts receivable clerks, two accounts payable clerks, one payroll coordinator, and one accounting assistant. There have been minimal changes to the accounting staff and employees have a long tenure (greater than 20 years) with the Company. — Monthly accounts are closed 45 days after month end. Certain accruals are performed monthly such as bonus, and vacation accruals, while others are monitored monthly but only recorded annually (e.g. AFDA, inventory provision, variances, royalty income, consolidation entities, etc). — The Company's budget is determined at the beginning of the year. A monthly budget to actual report is produced and reviewed by the VP Finance and CEO to track performance. — The accounting function is primarily supported by Sage 300 (general ledger), QlikView (management reporting), and Genesis (an in-house developed reporting front-end with AS400 supporting database). ■ **Payroll:** The Company's payroll providers are Ceridian in Canada and Sage in the US. Canadian salaries are paid on the 15th and 30-31st of the month. Wages in the US are paid weekly. ■ **Consolidation:** The Company's four primary operating entities (GFI, GFA, GFE, GII) are accounted for centrally by the accounting function described above. The VP Finance receives financial statements from the 'consolidation entities' on an annual basis. Once these statements are received, the VP Finance prepares accounting consolidation entries. There is limited oversight into the financial performance of the consolidation entities throughout the year. ■ **Inventory:** — The Company's inventory costing standards are determined annually in February. Management makes use of time studies and historical costing and variances on a by-style basis to determine standard cost. Standard cost is monitored but not adjusted throughout the year. — Variances to standard cost are monitored monthly. Due to the seasonality of sales, Management chooses not to absorb variances into income in the first half of the year to avoid skewing gross margin. These variances are absorbed in the second half of the year, and all variances are recognized by year end. — Inventory write-downs are performed at year end to finished goods. Write-downs are determined by analyzing finished goods on a by-style, by-colour, and by-season basis. Due to the nature of the product, inventory write-downs are a highly judgmental process.	n/a

organization.

Quality of earnings

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Quality of earnings (1/11) - Overview

TTM Sep-20 reported EBITDA for operating entities (GFI, GFA, and GFE) of $13.6 million increases to $14.9 million after considering other entities making up the Company's consolidated results, as well as Management adjustments.

TTM Sep-20 management-adjusted EBITDA of $14.9 million decreases to $14.2 million after diligence adjustments.

Quality of earnings

$'000	FY19	FY20	TTM Sep-20
Net sales, adjusted	**101,222**	**102,638**	**94,032**
Reported EBITDA, Operating entities	**8,949**	**12,749**	**13,627**
Consolidation entities	201	767	794
Reported EBITDA, Operating and Other entities	**9,150**	**13,515**	**14,420**
Management adjustments	1,101	920	455
EBITDA, Management adjusted	**10,251**	**14,435**	**14,875**
Diligence adjustments	149	(778)	(725)
EBITDA, Diligence adjusted	**10,400**	**13,657**	**14,150**
EBITDA margin, Diligence adjusted	*10.3%*	*13.3%*	*15.0%*
Other considerations			
A Covid impact	-	-	337
B Capitalized variances	n.q.	580	481
C Floating year-end	28	(187)	77

Source: Management provided information; KPMG analysis

Basis of presentation

The above Quality of Earnings schedule illustrates potential adjustments and other factors to be considered which were identified for the fiscal year ended February 28, 2019, February 29, 2020, and the trailing twelve months ended September 31, 2020.

The proposed adjustments are not necessarily all-inclusive and are based on Management provided information to date. The validity of these potential adjustments and other factors raised for your consideration may require further investigation to understand the potential impact on your valuation model.

Overview

- The Quality of earnings analysis presented herein is prepared based on the Company's internal trial balances, consolidation schedules prepared by the Company's advisors, and discussions held with Management and its advisors.
- The nature of adjustments included in the quality of earnings analysis are as follows:
  - **Reported EBITDA, Operating and Consolidation entities**: Includes the impact GFI, GFA, and GFE (operating entities) as well as GME and GHK (sales and sourcing offices), and consolidation entries. Refer to Appendix 2 for a consolidation summary and reconciliation to audited financials for FY19 and FY20.
  - **EBITDA, Management adjusted:** Includes the impact of EBITDA adjustments identified by Management, with assistance from its sell-side advisors.
  - **EBITDA, Diligence adjusted:** Reflects the impact of incremental adjustments to Management EBITDA.
  - **Other considerations:** Certain other items which were not included as adjustments are highlighted in the 'Other considerations' section. These items include cash considerations and should be considered as part of Client's valuation model due to the significance of certain cash items identified.

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Quality of earnings (2/11) - Consolidation entities

Quality of earnings				
	$'000	FY19	FY20	TTM Sep-20
	Net sales, reported	**101,272**	**102,209**	**93,648**
	Adjustments			
	Consolidation entities	(50)	81	36
5	Over provision of credit note accrual	-	348	348
	Adjustments	(50)	429	384
	Net sales, adjusted	**101,222**	**102,638**	**94,032**
	Reported EBITDA, Operating entities	**8,949**	**12,749**	**13,627**
	Consolidation entities			
i	GME	366	230	421
ii	GHK	133	234	234
iii	FX variances	(143)	281	117
iv	GFI/GHK elim.	82	22	22
v	175 Can Inc.	(224)	-	-
vi	Internal to audit variances - FY19	(13)	-	-
	Consolidation entities	201	767	794
	Reported EBITDA, Operating and Other entities	**9,150**	**13,515**	**14,420**
	Management adjustments	1,101	920	455
	EBITDA, Management adjusted	**10,251**	**14,435**	**14,875**
	Diligence adjustments	149	(778)	(725)
	EBITDA, Diligence adjusted	**10,400**	**13,657**	**14,150**
	EBITDA margin, Diligence adjusted	*10.3%*	*13.3%*	*15.0%*

Source: Management provided information; KPMG analysis

Consolidation entities

- In addition to the three main operating entities (GFI, GFA, and GFE), the Company's consolidated results also include other entities (sales, administrative, and service entities in foreign jurisdictions) as well as consolidation entries. See Appendix 2 for the reconciliation from Operating entities to audited financials.
- These other entities are included in the Company's results on an annual basis as part of the audit. (The Company does not prepare monthly financials for these entities and only prepares annual financials for year-end purposes). For the quality of earnings analysis presented herein, we have estimated the TTM Sep-20 impact (by utilizing FY20, and YTD October 2019 and 2020 figures where available) in order to present a consolidated view of EBITDA.

i. **GME (Genfoot Marketing):** Service / administrative company for GFE located in Germany that manages orders, collections, and payables, and provides customer service. GME has 8-9 employees, and charges a monthly management fee to GFE to cover operating costs (expense is reflected in GFE's results as part of Operating entities).

ii. **GHK (Genfoot Hong Kong):** Service company that oversees sourcing and quality control from Asian suppliers with approximately 12 employees. GHK receives an import commission fee from GFI, GFA, and GFE to cover operating costs.

iii. **FX variances:** Consists of (1) differences between the monthly FX rates used in quality of earnings analysis and the annual average rate used for the audit; and (2) balancing entry arising from translating operations denominated in foreign currencies.

iv. **GFI/GHK elim:** Primarily relates to elimination of GHK revenue (which is intercompany with the rest of the operating entities). The residual balance relates to foreign exchange translation.

v. **175 Can Inc.:** Legacy holding company which was merged into GFI in November 2018. Costs relate to life insurance costs for previous shareholders (added back to EBITDA as part of adjustment #9).

vi. **Internal to audit variances – FY19:** Unreconciled variances to bridge the internal results to audited financials.

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Quality of earnings (3/11) - Management adjustments

Quality of earnings

$'000	FY19	FY20	TTM Sep-20
Net sales, reported	**101,272**	**102,209**	**93,648**
Adjustments			
Consolidation entities	(50)	81	36
5 Over provision of credit note accrual	-	348	348
Adjustments	(50)	429	384
Net sales, adjusted	**101,222**	**102,638**	**94,032**
Reported EBITDA, Operating entities	**8,949**	**12,749**	**13,627**
Consolidation entities	201	767	794
Reported EBITDA, Operating and Other entities	**9,150**	**13,515**	**14,420**
Management adjustments			
1 Normalization of executive compensation	59	(180)	(172)
2 Discretionary private company expenses	176	148	155
3 Transaction related costs	1,379	166	95
4 Over provision of AFDA	-	582	527
5 Over provision of credit note accrual	-	348	348
6 General suspense accrual (FX)	-	500	500
7 Under accrual of royalty income	-	85	0
8 Over provision of bonus accrual	-	121	0
9 Non-operational expenses	217	90	86
10 Market rent adjustment	(800)	-	-
11 Litigation settlement (Europe)	-	(1,011)	(1,011)
12 Capitalizable expenses	71	70	-
13 Gain/loss on fixed asset disposal	-	-	(73)
Management adjustments	1,101	920	455
EBITDA, Management adjusted	**10,251**	**14,435**	**14,875**
Diligence adjustments	149	(778)	(725)
EBITDA, Diligence adjusted	**10,400**	**13,657**	**14,150**
EBITDA margin, Diligence adjusted	*10.3%*	*13.3%*	*15.0%*

Source: Management provided information; KPMG analysis

Management adjustments

- The following adjustments are identified by Management and their sell-side advisors.

1. **Normalization of executive compensation:** Various members of the Cook family are compensated by the Company. Of the individuals presented below, only Mr. Norman Cook and Mr. Stephen Cook are actively involved with the business and are expected to remain after closing. The following table summarizes the net impact of removing reported compensation paid to the Cook family, replaced with the expected ongoing compensation run-rate post-close.

Executive compensation

$'000	FY19	FY20	TTM Sep-20
Norman Cook	197	154	155
Lorena Cook	39	41	41
Stephen Cook	197	154	155
Dorothy Cook	39	41	41
Gordon Cook	86	105	109
Richard Cook	189	-	-
Catherine Cook	104	149	149
Eliminated positions (CMO+)	-	-	-
Reported compensation (a)	851	643	651
Norman Cook	(400)	(400)	(400)
Stephen Cook	(400)	(400)	(400)
Go-forward compensation (b)	(800)	(800)	(800)
Compensation (before benefits) (c=a+b)	**51**	**(157)**	**(149)**
Benefits estimated at 15% (d)	8	(23)	(22)
Net adjustment (c + d)	**59**	**(180)**	**(172)**

Source: Management provided information

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Quality of earnings (4/11) - Management adjustments (continued)

Quality of earnings

$'000		FY19	FY20	TTM Sep-20
Net sales, reported		**101,272**	**102,209**	**93,648**
Adjustments				
	Consolidation entities	(50)	81	36
5	Over provision of credit note accrual	-	348	348
Adjustments		(50)	429	384
Net sales, adjusted		**101,222**	**102,638**	**94,032**
Reported EBITDA, Operating entities		**8,949**	**12,749**	**13,627**
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6	General suspense accrual (FX)	-	500	500
7	Under accrual of royalty income	-	85	0
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9	Non-operational expenses	217	90	86
10	Market rent adjustment	(800)	-	-
11	Litigation settlement (Europe)	-	(1,011)	(1,011)
12	Capitalizable expenses	71	70	-
13	Gain/loss on fixed asset disposal	-	-	(73)
Management adjustments		1,101	920	455
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Diligence adjustments		149	(778)	(725)
EBITDA, Diligence adjusted		**10,400**	**13,657**	**14,150**
EBITDA margin, Diligence adjusted		*10.3%*	*13.3%*	*15.0%*

Source: Management provided information; KPMG analysis

Management adjustments (continued)

2. **Discretionary private company expenses:** Add back of owners' personal expenses comprising of the following:

Discretionary private company expenses

$'000	FY19	FY20	TTM Sep-20
Donations	59	69	76
Auto/Gas	62	24	24
"Soft" expenses	55	55	55
Seller proposed adjustment	**176**	**148**	**155**

Source: Management provided information

- **Donations:** Reflects donations made by the Cook family (and paid by the Company). Management represents the spend is not associated with sponsorships or other marketing initiatives.
- **Auto/Gas:** Relates to vehicle leases for two shareholders no longer with the organization and gas expenses for the Cook family.
- **"Soft" expenses:** Represents personal expenses of the Cook family. We have reversed this as part of diligence adjustment #15 as the quantum is based on Management's high level estimate (i.e. no specific support or calculation).

3. **Transaction related costs:** Primarily legal and professional fees related to a shareholder reorganization/recapitalization in November 2018 to buy-out the ownership of two Cook family individuals. These costs were non-operational and therefore added back to EBITDA. The following table summarizes the GL accounts impacted by the adjustment.

Transaction related costs

$'000	FY19	FY20	TTM Sep-20
Legal fees	657	172	101
Professional fees	366	-	-
Recap Costs	356	(6)	(6)
Seller proposed adjustment	**1,379**	**166**	**95**

Source: Management provided information

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Quality of earnings (5/11) - Management adjustments (continued)

Quality of earnings				
$'000		FY19	FY20	TTM Sep-20
Net sales, reported		**101,272**	**102,209**	**93,648**
Adjustments				
	Consolidation entities	(50)	81	36
5	Over provision of credit note accrual	-	348	348
Adjustments		(50)	429	384
Net sales, adjusted		**101,222**	**102,638**	**94,032**
Reported EBITDA, Operating entities		**8,949**	**12,749**	**13,627**
Consolidation entities		201	767	794
Reported EBITDA, Operating and Other entities		**9,150**	**13,515**	**14,420**
Management adjustments				
1	Normalization of executive compensation	59	(180)	(172)
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3	Transaction related costs	1,379	166	95
4	Over provision of AFDA	-	582	527
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9	Non-operational expenses	217	90	86
10	Market rent adjustment	(800)	-	-
11	Litigation settlement (Europe)	-	(1,011)	(1,011)
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13	Gain/loss on fixed asset disposal	-	-	(73)
Management adjustments		1,101	920	455
EBITDA, Management adjusted		**10,251**	**14,435**	**14,875**
Diligence adjustments		149	(778)	(725)
EBITDA, Diligence adjusted		**10,400**	**13,657**	**14,150**
EBITDA margin, Diligence adjusted		*10.3%*	*13.3%*	*15.0%*

Source: Management provided information; KPMG analysis

Management adjustments (continued)

The following table relates to Adjustments #4 and #5.

Over-provision - as at February 2020			
$'000	GFI	GFA	Total
Specific-identification	(170)	(68)	(238)
General accrual	(180)	(402)	(582)
Total AFDA	**(350)**	**(470)**	**(820)**
Specific-identification	(220)	(403)	(623)
General accrual	(180)	(167)	(348)
Total AFCN	**(400)**	**(571)**	**(971)**
Adjustments			
General AFDA accrual (Adj #4)	180	402	582
General AFCN accrual (Adj #5)	180	167	348

Source: Management provided information

4. **Over provision of AFDA:** According to Management, the Company recorded higher than normal bad debt expenses to account for expected losses due to COVID-19. The proposed adjustment adjusts the bad debt expense to the actual loss.
5. **Overprovision of credit note accrual:** Similarly to bad debt expense, the Company recorded higher than normal credit notes to account for expected losses due to COVID-19. The proposed adjustment adjusts credit notes to the actual loss.
6. **General suspense accrual (FX):** In February 2020, the Company recorded a $500,000 general provision for income smoothing as a result of uncertainly due to COVID-19 (to defer income to FY21). This is added back to EBITDA as a non-operating item.
7. **Under accrual of royalty income:** Similar to the general suspense accrual, the Company did not accrue $85,000 of royalty income at year-end in order to defer income to FY21 (recognized in June 2020). This adjustment corrects the timing of the royalty income accrual.

Under accrual of royalty income			
$'000	FY19	FY20	TTM Sep-20
Reported royalty income	(275)	(239)	(324)
Actual royaly income earned	275	324	324
Seller proposed adjustment	**-**	**85**	**0**

Source: Management provided information

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Quality of earnings (6/11) - Management adjustments (continued)

Quality of earnings			
$'000	FY19	FY20	TTM Sep-20
Net sales, reported	**101,272**	**102,209**	**93,648**
Adjustments			
Consolidation entities	(50)	81	36
5 Over provision of credit note accrual	-	348	348
Adjustments	(50)	429	384
Net sales, adjusted	**101,222**	**102,638**	**94,032**
Reported EBITDA, Operating entities	**8,949**	**12,749**	**13,627**
Consolidation entities	201	767	794
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8 Over provision of bonus accrual	-	121	0
9 Non-operational expenses	217	90	86
10 Market rent adjustment	(800)	-	-
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Diligence adjustments	149	(778)	(725)
EBITDA, Diligence adjusted	**10,400**	**13,657**	**14,150**
EBITDA margin, Diligence adjusted	*10.3%*	*13.3%*	*15.0%*

Source: Management provided information; KPMG analysis

Management adjustments (continued)

8. **Over provision of bonus accrual:** Reflects a reduction of bonus expense in FY20 in GFI and GFA to align with the actual payment (accrued $561,000; paid $440,000 in August 2020 and released the excess). Historically, the Company accrued bonus based on 10% of profit before tax, however, Management represents that the FY21 bonus is expected to be consistent with FY20 dollar-wise.

Over provision of bonus accrual			
$'000	FY19	FY20	TTM Sep-20
i GFI over accrual	-	88	-
ii GFA over accrual	-	33	-
Seller proposed adjustment	**-**	**121**	**-**

Source: Management provided information

9. **Non-operational expenses:** Relates to former owners' life insurance premiums and board support costs (i.e. costs for a third party consultant for advice to the current owners, which is not expected to continue post-close).

Non-operational expenses			
$'000	FY19	FY20	TTM Sep-20
i Life insurance	224	-	-
ii Board support	30	90	86
iii Loss on affiliate	-	-	-
iv Cost recovery	(37)	-	-
Non-operational expenses	**217**	**90**	**86**

Source: Management provided information

10. **Market rent adjustment:** Prior to its reorganization in FY19, the Company's rent for its Lachine warehouse/office and Vermont warehouse with Genfoot Realty (a related party) was not at arms-length. As part of the reorganization process, the Company entered into market-rate leases with Genfoot Realty. This adjustment reflects Management's estimate of incremental rent expense in FY19 to reflect market rent. Refer to adjustment #19 for a true-up as part of diligence.

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Quality of earnings (7/11) - Management adjustments (continued)

Quality of earnings			
$'000	FY19	FY20	TTM Sep-20
Net sales, reported	**101,272**	**102,209**	**93,648**
Adjustments			
Consolidation entities	(50)	81	36
5 Over provision of credit note accrual	-	348	348
Adjustments	(50)	429	384
Net sales, adjusted	**101,222**	**102,638**	**94,032**
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9 Non-operational expenses	217	90	86
10 Market rent adjustment	(800)	-	-
11 Litigation settlement (Europe)	-	(1,011)	(1,011)
12 Capitalizable expenses	71	70	-
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Diligence adjustments	149	(778)	(725)
EBITDA, Diligence adjusted	**10,400**	**13,657**	**14,150**
EBITDA margin, Diligence adjusted	*10.3%*	*13.3%*	*15.0%*

Source: Management provided information; KPMG analysis

Management adjustments (continued)

11. **Litigation settlement (Europe):** In FY20, the Company recorded a litigation settlement gain of $700,000 as well as recovery of legal expenses of $311,000 against a shipping company which delivered product to a bankrupt distributor in Norway against the Company's instructions. The suit was filed prior to the historical period presented herein, with the court finding favorably for the Company in FY20. The adjustment removes these proceeds on the basis that they are exceptional in nature.

Litigation settlement			
$'000	FY19	FY20	TTM Sep-20
i Settlement recovery (recorded in bad debts)	-	(700)	(700)
ii Recovery of legal fees (offset to legal fee expense)	-	(311)	(311)
Litigation settlement	**-**	**(1,011)**	**(1,011)**

Source: Management provided information

12. **Capitalizable expenses:** The Company expensed costs relating to warehouse and office LED lighting installation (which straddled year-end FY19 and the beginning of FY20). These amount should have been capitalized in accordance with the Company's accounting policies ($10,000 expense threshold to capitalize). As such, the amount is added back to EDITDA.

13. **Gain/loss on fixed asset disposal:** The Company exchanged a fully-depreciated IMD machine for a new machine and realized a gain on disposal in March 2020. The gain is excluded from EBITDA as it is non-operating in nature.

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Quality of earnings (8/11) - Diligence adjustments

Quality of earnings

$'000		FY19	FY20	TTM Sep-20
Net sales, adjusted		**101,222**	**102,638**	**94,032**
Reported EBITDA, Operating entities		**8,949**	**12,749**	**13,627**
Consolidation entities		201	767	794
Reported EBITDA, Operating and Other entities		**9,150**	**13,515**	**14,420**
Management adjustments		1,101	920	455
EBITDA, Management adjusted		**10,251**	**14,435**	**14,875**
Diligence adjustments				
14	Foreign exchange	(271)	(657)	(570)
15	Soft expenses - reversal	(55)	(55)	(55)
16	Vacant positions	-	-	(29)
17	GME management fee	(20)	(19)	(20)
18	Gain/loss on fixed asset disposal true-up	-	4	7
19	Market rent adjustment true-up	553	7	(0)
20	Genfoot Realty admin fee	(58)	(58)	(58)
Diligence adjustments		149	(778)	(725)
EBITDA, Diligence adjusted		**10,400**	**13,657**	**14,150**
EBITDA margin, Diligence adjusted		*10.3%*	*13.3%*	*15.0%*

Source: Management provided information; KPMG analysis

Diligence adjustments

- The following adjustments are identified during due diligence procedures.

14. **Foreign exchange:** Consists of: (a) removing the gain/loss in EBITDA arising from the translation of foreign currency results to CAD. These amounts arise from accounting treatment of foreign subsidiaries and are non-cash; and (b) removing the gains from the Company's foreign currency hedging activities as they are non-operating.

Foreign exchange

$'000	FY19	FY20	TTM Sep-20
(a) Translation FX - adjustment	(44)	(335)	(249)
(b) Hedging FX - adjustment	(227)	(322)	(322)
Foreign exchange adjustment	**(271)**	**(657)**	**(570)**

Source: Management provided information

15. **Soft expenses:** Reverses the "soft" expenses component of Management adjustment #2 as the proposed add back is a general estimate which the Company was not able to provide support for.

16. **Vacant positions:** This adjustment estimates the impact of the vacant VP Marketing position from mid-July 2020, applying an annual compensation of $120,000 plus 15% for benefits and taxes.

Vacant positions

$'000	FY19	FY20	TTM Sep-20
VP Marketing	-	-	(25)
Total salaries	-	-	(25)
Benefits and taxes - 15%	-	-	(4)
Total compensation	-	-	(29)
Adjustment	**-**	**-**	**(29)**

Source: Management provided information

The other vacant position relates to a warehouse manager who departed at the end of September 2020 (no impact to TTM Sep-20 EBITDA). As well, the Company is looking to replace its current VP of Sales in Canada who intends to retire early 2021.

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Quality of earnings (9/11) - Diligence adjustments (continued)

Quality of earnings				
$'000		FY19	FY20	TTM Sep-20
Net sales, adjusted		**101,222**	**102,638**	**94,032**
Reported EBITDA, Operating entities		**8,949**	**12,749**	**13,627**
Consolidation entities		201	767	794
Reported EBITDA, Operating and Other entities		**9,150**	**13,515**	**14,420**
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Diligence adjustments				
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15	Soft expenses - reversal	(55)	(55)	(55)
16	Vacant positions	-	-	(29)
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19	Market rent adjustment true-up	553	7	(0)
20	Genfoot Realty admin fee	(58)	(58)	(58)
Diligence adjustments		149	(778)	(725)
EBITDA, Diligence adjusted		**10,400**	**13,657**	**14,150**
EBITDA margin, Diligence adjusted		*10.3%*	*13.3%*	*15.0%*

Source: Management provided information; KPMG analysis

Diligence adjustments (continued)

17. **GME management fee**: GME charges a management fee to AKU (a former customer) for employee support (primarily customer service), 30% of show room costs, and 10% of general overhead. The agreement ends in February 2021 and the Company does not intend to renew. This adjustment removes the historical show room and general overhead costs recovered from AKU as these will continue to be incurred by GME. With regard to payroll costs, Management indicates that the Company will be able to reduce headcount to after the AKU contract ends.
18. **Gain/loss on fixed asset disposal true-up:** Reflects a true-up to Management's adjustment #13 to remove remaining asset disposal (gain)/loss from EBITDA.
19. **Market rent adjustment true-up:** The proposed adjustment normalizes historical rent expense (inclusive of Management adjustment #10) based on the rates in the Company's rent agreements.

Market rent adj true-up			
$'000	FY19	FY20	TTM Sep-20
Rent expense, reported	(921)	(1,181)	(1,182)
Market rent adjustment, mgmt	(800)	-	-
Rent expense, mgmt adjusted	(1,721)	(1,181)	(1,182)
Rent per rental agreements	(1,168)	(1,175)	(1,182)
Variance	553	7	(0)
Adjustment	**553**	**7**	**(0)**

Source: Management provided information

20. **Genfoot Realty admin fee:** Both GFI and GFA charge an administrative fee to Genfoot Realty (a related party and landlord) of $25,000 CAD and USD, respectively. The historical fee is removed as the arrangement is not expected to continue post-close.

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Quality of earnings (10/11) - Other considerations

Quality of earnings			
$'000	FY19	FY20	TTM Sep-20
Net sales, adjusted	**101,222**	**102,638**	**94,032**
Reported EBITDA, Operating entities	**8,949**	**12,749**	**13,627**
Consolidation entities	201	767	794
Reported EBITDA, Operating and Other entities	**9,150**	**13,515**	**14,420**
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Diligence adjustments	149	(778)	(725)
EBITDA, Diligence adjusted	**10,400**	**13,657**	**14,150**
EBITDA margin, Diligence adjusted	*10.3%*	*13.3%*	*15.0%*
Other considerations			
A Covid impact	-	-	337
B Capitalized variances	n.q.	580	481
C Floating year-end	28	(187)	77

Source: Management provided information; KPMG analysis

Other considerations

- The following adjustments include potential Quality of earnings considerations identified during due diligence. These items relate to other potential business issues that should be considered in the overall evaluations of the business. In addition, these items may be subjective in nature – and as a result, have not been included in the Quality of Earnings schedule.

A. **COVID impact:** The Company's YTD Sep-20 revenues were negatively impacted by COVID-19. In response, Management reduced discretionary spend such as advertising and travel, implemented a temporary pay reduction, and applied for CEWS. The table below sets out the indicative EBITDA after adjusting for the impact of COVID-19.

Covid impact								
				Combined				
$'000	Mar-20	Apr-20	May-20	Jun-20	Jul-20	Aug-20	Sep-20	Total
Revenue	3,840	1,866	913	(1,116)	(226)	4,663	(1,380)	8,561
Direct labour	(237)	(538)	(356)	(361)	(411)	(437)	(195)	(2,535)
Other COGS	(2,511)	(837)	(70)	1,373	100	(2,295)	1,299	(2,942)
Gross profit	1,093	491	487	(103)	(537)	1,930	(277)	3,083
Warehouse	(51)	(47)	(45)	(43)	(58)	(65)	(34)	(343)
Selling	(51)	(49)	(51)	(50)	(51)	(48)	(23)	(323)
Admin	(152)	(198)	(261)	(254)	(212)	(166)	(76)	(1,320)
Non-COGS labour	(253)	(294)	(357)	(347)	(321)	(279)	(134)	(1,986)
Advertising and travel	44	(105)	(55)	(67)	(121)	(194)	(182)	(681)
Commission	(100)	(49)	(24)	29	6	(122)	36	(223)
Additional credit insurance	3	3	3	3	3	3	3	18
Additional customer discounts	4	4	4	4	4	4	4	25
Other expenses	(50)	(147)	(73)	(32)	(109)	(310)	(140)	(861)
Estimate of D&A in COGS	51	25	8	(19)	6	51	(20)	102
Total EBITDA	**840**	**75**	**65**	**(502)**	**(961)**	**1,391**	**(572)**	**337**

Source: Management provided information; KPMG analysis

— **Revenue and profit:** Estimated as the difference in third party revenue and profit between YTD Sep-20 and YTD Sep-19 (e.g. assuming YTD Sept-19 run-rate).

Continued on the following page.

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Quality of earnings (11/11) - Other considerations (continued)

Other considerations (continued)

A. **COVID impact (continued):**

- **Payroll:** Consists of the reversal of CEWS subsidies received, factory closure in Canada (closed for two weeks; Management represents employees were not paid during this time); and a 20% payroll reduction for administration employees from mid-April to mid-July.

Personnel costs - Covid impact (GFI - CAD)			
$'000	FY19	FY20	TTM Sep-20
Reported	(14,797)	(15,853)	(10,634)
CEWS	-	-	(3,835)
Factory closure	-	-	(396)
20% wage cut	-	-	(276)
Personnel expenses, adj for Covid	**(14,797)**	**(15,853)**	**(15,141)**

Note: The 20% wage cut also impacted GFA (approximately $15,000).

Source: Management provided information; KPMG analysis

- **Advertising and travel:** The Company scaled back advertising expenses (i.e. sales meetings, shoe shows, marketing spend, etc.) to conserve cash. The savings are estimated based a comparison of the prior year's costs to the current year. Travel expense savings are similarly estimated.
- **Commission:** Estimate of commission expense (2.6% of sales based on FY20) which would have been paid on the pro forma revenue.
- **Additional credit insurance**: Prior to COVID-19, the Company only had credit insurance in the UK and Norway. However, in YTD Sep-20, Management expanded coverage to include all of its sales regions (Germany, Austria, Canada, and the US).
- **Additional customer discounts:** For cash flow management, the Company offered discounts to customers that prepaid for purchases.

Other considerations (continued)

B. **Capitalized variances:** The Company does not capitalize price or manufacturing variances (i.e. all variances are reflected in the P&L for each year). Furthermore, for income-smoothing purposes, Management defers the recognition manufacturing variances and releases portions of the variance into the P&L during the year. The table below summarizes the indicative impact had Management capitalized variances into inventory during production. For simplicity, the quantum of capitalized variances is estimated using the Company's adjusted DIO.

Capitalized Variances			
$'000	FY19	FY20	TTM Sep-20
Manufacturing variances	1,776	3,870	3,552
DIO	93	113	120
Days in month	30	31	31
Months of inventory on hand	3.1	3.7	3.9
Implied inventory (DIO formula)	362	942	1,554
Change in inventory	-	580	480
Adjustment	**-**	**580**	**480**

Source: Management provided information; KPMG analysis

C. **Floating year-end:** The Company's month-end and year-end is the last Friday, whereas the audited financials use calendar year-end (i.e. February 29, 2020 for FY20). The table below summarizes the indicative impact of the floating year-end.

Floating year-end impact			
$'000	FY19	FY20	TTM Sep-20
EBITDA, diligence adjusted	**10,400**	**13,657**	**14,150**
PY - Last Friday vs. month-end (days)	5	6	3
CY - Last Friday vs. month-end (days)	6	1	5
Net days	1	(5)	2
EBITDA impact	**28**	**(187)**	**77**

Source: Management provided information; KPMG analysis

Net working capital

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Stratified balance sheet

The table below presents the Company's balance sheet segregated into its components as at September 30, 2020.

Stratified balance sheet							
				As at 30-Sep-20			
$'000	28-Feb-19	29-Feb-20	30-Sep-20	NWC	Net debt	Fixed assets	Other
Assets							
Cash	8,505	4,676	(7,650)	-	(7,650)	-	-
Accounts receivable	12,927	10,113	22,059	22,059	-	-	-
Inventory	13,855	19,062	24,276	24,276	-	-	-
Advances to company under common control	3,508	4,109	3,667	-	3,667	-	-
Prepaid expenses and deposits	2,028	2,137	2,608	2,608	-	-	-
Current assets	40,824	40,097	44,961	48,943	(3,982)	-	-
Property, plant and equipment	5,191	4,868	4,438	-	-	4,438	-
Investment in subsidiary company	38	38	40	-	-	-	40
Investment in company under common control	0	0	0	-	-	-	0
Loans receivable, companies under common control	5,187	5,187	5,187	-	5,187	-	-
Assets	**51,240**	**50,189**	**54,626**	**48,943**	**1,204**	**4,438**	**40**
Liabilities & equity							
Accounts payable and accrued liabilities	(8,523)	(8,380)	(12,844)	(12,844)	-	-	-
Income taxes payable	(255)	(580)	1,768	-	1,768	-	-
Current liabilities	(8,777)	(8,961)	(11,076)	(12,844)	1,768	-	-
Balance on redemption of shares	(6,522)	(5,853)	(5,463)	-	(5,463)	-	-
Advances from companies under common control	26	-	388	-	388	-	-
Loans payable	(14,597)	(14,287)	(11,265)	-	(11,265)	-	-
Loans payable, companies under common control	(917)	(872)	(1,078)	-	(1,078)	-	-
Long-term debt	(5,969)	-	(706)	-	(706)	-	-
Liabilities	**(36,756)**	**(29,973)**	**(29,200)**	**(12,844)**	**(16,356)**	**-**	**-**
Net assets	**14,484**	**20,216**	**25,425**	**36,099**	**(15,152)**	**4,438**	**40**

Source: Management provided information; KPMG analysis

Overview

- **Net working capital:** Consists of the following:
  - **Accounts receivable:**

    Includes trade receivables (net of AFDA and AFCN) and miscellaneous receivables (in YTD Sep-20, primarily relates to CEWS receivables). The company records a general provision for bad debts which is evaluated on a customer by customer basis at year-end. Credit notes are also accrued based on historical trends.

    Historically, the Company has had minimally aged bad debts. AFDA and AFCN provisions are recorded annually and monitored on a monthly basis. Management has judgmentally increased the AFDA provision in the case of economic uncertainty – see adjustments #4 and #5 as part of Quality of earnings.

Overview (continued)

- **Net working capital (continued):**
  - **Inventory:**

    Includes finished goods and raw materials. Finished goods valued at standard cost as the Company does not capitalize variances (standards are updated annually) – refer to Other considerations as part of Quality of earnings for further details. Raw materials are valued at purchase cost.

    A physical inventory count is performed at year-end and inventory aging is judgmentally assessed on a style-by-basis (no formal aging analysis exists). Management identifies specific inventory to be reviewed for potential write-down based upon several factors like quantity on hand, season, selling price, specific programs, etc. Generally, 'staple stock' is not written down as Management expects this stock to eventually sell.
  - **Prepaid expenses and deposits:**

    Primarily composed of prepaid balances related to goods in transit, insurance, and marketing.
  - **Accounts payable:**

    Third party vendor payments are generally made within 30-45 days.
- **Net Debt:** Comprised of cash balances, intercompany loans, income taxes payable and other debt balances. Refer to the Net Debt section for further details.
- **Fixed assets:** Consists of machinery and equipment, land, and building.

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Net working capital (1/12) - Overview

Average TTM Sep-20 working capital for operating entities (GFI, GFA, and GFE) decreases from $30.9 million (reported) to $30.2 million after considering Management adjustments.

Inclusive of diligence adjustments and consolidation entries, average TTM Sep-20 working capital is $30.8 million.

Net working capital

	As at			Average		
$'000	**28-Feb-19**	**29-Feb-20**	**30-Sep-20**	**FY19**	**FY20**	**TTM Sep-20**
Current assets						
Accounts receivable	12,927	10,113	22,059	19,530	17,340	15,431
Prepaid expenses and deposits	2,028	2,137	2,608	2,109	2,558	2,343
Inventory	13,855	19,062	24,276	20,263	22,788	22,773
Total current assets	28,810	31,313	48,943	41,903	42,686	40,547
Current liabilities						
Accounts payable and accrued liabilities	(8,523)	(8,380)	(12,844)	(9,606)	(11,356)	(9,652)
Total current liabilities	(8,523)	(8,380)	(12,844)	(9,606)	(11,356)	(9,652)
Reported NWC, Operating entities	**20,288**	**22,932**	**36,099**	**32,296**	**31,330**	**30,895**
Management adjustments	653	(3,528)	4,783	(1,451)	(1,110)	(669)
NWC, Management adjusted	**20,940**	**19,404**	**40,882**	**30,846**	**30,219**	**30,226**
Diligence adjustments	153	2,849	31	146	1,035	746
NWC, Diligence adjusted	**21,093**	**22,253**	**40,913**	**30,992**	**31,255**	**30,972**
As % of TTM net sales	*20.8%*	*21.7%*	*43.5%*	*30.6%*	*30.3%*	*31.2%*
Consolidation entities				(634)	(153)	(153)
NWC, Diligence adj including Other entities				**30,358**	**31,102**	**30,819**
Other considerations						
A COVID impact	-	-	1,295	-	-	1,942
B DPO normalization for Jun / Jul 2019	-	-	-	-	821	-

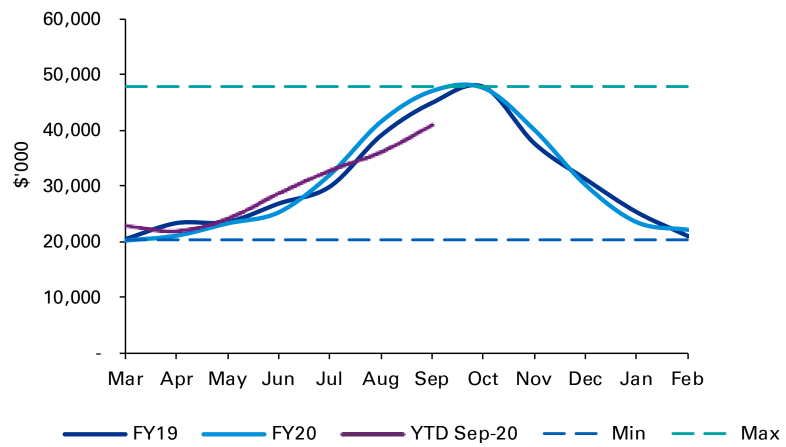
Source: Management provided information; KPMG analysis

Basis of presentation

The above working capital schedule illustrates due diligence adjustments and other factors to be considered for the fiscal year ended February 28, 2019, February 29, 2020, and trailing 12 September 30, 2020.

Such proposed adjustments are not deemed to be all inclusive. The validity of these adjustments and other factors raised for your consideration may require further investigation to understand the potential impact on the valuation model.

Adjusted NWC seasonality (before consol entities)



Source: Management provided information; KPMG analysis

NWC seasonality (before consol entities)

$'000	Minimum	Maximum	Range	Avg. NWC
FY19	20,566	47,827	27,261	30,992
FY20	20,341	47,627	27,285	31,255
TTM Sep-20	22,005	47,627	25,622	30,972

Source: Management provided information; KPMG analysis

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Net working capital (2/12) - Management adjustments

Net working capital							
	As at			Average			
$'000	28-Feb-19	29-Feb-20	30-Sep-20	FY19	FY20	TTM Sep-20	
Current assets						
Accounts receivable	12,927	10,113	22,059	19,530	17,340	15,431
Prepaid expenses and deposits	2,028	2,137	2,608	2,109	2,558	2,343
Inventory	13,855	19,062	24,276	20,263	22,788	22,773
Total current assets	28,810	31,313	48,943	41,903	42,686	40,547
Current liabilities						
Accounts payable and accrued liabilities	(8,523)	(8,380)	(12,844)	(9,606)	(11,356)	(9,652)
Total current liabilities	(8,523)	(8,380)	(12,844)	(9,606)	(11,356)	(9,652)
Reported NWC, Operating entities	**20,288**	**22,932**	**36,099**	**32,296**	**31,330**	**30,895**
Management adjustments						
1 Inventory normalization	-	(5,781)	-	-	(2,459)	(3,143)
2 Intercompany transactions	653	616	1,462	(392)	285	769
3 CEWS impact to inventory	-	-	2,287	-	-	722
4 CEWS subsidy accrual	-	-	(330)	-	-	(494)
5 Excess AFDA	-	583	516	-	49	359
6 Litigation settlement	-	-	-	-	927	337
7 General FY20 suspense accrual (FX)	-	500	500	-	42	333
8 AP normalization	-	-	-	-	-	278
9 Excess CN	-	348	348	-	29	232
10 AR normalization	-	-	-	-	-	(153)
11 Over accrual of bonuses	-	121	-	-	10	61
12 Underaccrual of royalty income	-	85	-	-	7	28
13 Misc receivables	-	-	-	(1,059)	-	-
Management adjustments	653	(3,528)	4,783	(1,451)	(1,110)	(669)
NWC, Management adjusted	**20,940**	**19,404**	**40,882**	**30,846**	**30,219**	**30,226**
Diligence adjustments	153	2,849	31	146	1,035	746
NWC, Diligence adjusted	**21,093**	**22,253**	**40,913**	**30,992**	**31,255**	**30,972**
As % of TTM net sales	*20.8%*	*21.7%*	*43.5%*	*30.6%*	*30.3%*	*31.2%*
Consolidation entities				(634)	(153)	(153)
NWC, Diligence adj including Other entities				**30,358**	**31,102**	**30,819**

Source: Management provided information; KPMG analysis

Management adjustments

- The following reflect NWC adjustments identified by Management.

1. **Inventory normalization:** According to Management, inventory on hand was greater than normal from September 2019 to May 2020 due to: (i) slow-down in sales to Walmart; and (ii) SEO issues with revised style names on Amazon. Management's adjustment reduces inventory using the average DIO for each month in this period, compared to the same month in the prior year. Management uses a count-forward methodology to calculate DIO (i.e. number of days to sell through month-end inventory based on future periods' COGS). The table below summarizes Management's adjustment, as well as the partial reversal as part of diligence adjustment #14.

Inventory normalization			
	As at		
$'000	28-Feb-19	29-Feb-20	30-Sep-20
Normalized Inventory	13,855	13,281	24,276
Reported inventory + Cap CEWS	13,855	19,062	24,276
Management adjustment	**-**	**(5,781)**	**-**
Re-calculation (T12M DIO)			
Inventory, reported	13,855	19,062	24,276
CEWS - cap labour adj	-	-	2,287
Walmart inv adj	-	(328)	-
Inventory (incl CEWS + WM)	13,855	18,734	26,563
COGS, Operating Entities, Reported	(4,193)	(3,526)	(10,768)
DIO, reported (T12M avg)	74	103	160
DIO assumption	74	89	160
Inventory, normalized (inc. WM)	13,855	16,102	26,563
Inv (incl CEWS + WM)	13,855	18,734	26,563
Adjustment, KPMG	**-**	**(2,632)**	**-**
Adjustment to Management adj.	**-**	**3,149**	**-**

Source: Management provided information; KPMG analysis

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Net working capital (3/12) - Management adjustments (continued)

Net working capital						
	As at			Average		
$'000	28-Feb-19	29-Feb-20	30-Sep-20	FY19	FY20	TTM Sep-20
Current assets						
Accounts receivable	12,927	10,113	22,059	19,530	17,340	15,431
Prepaid expenses and deposits	2,028	2,137	2,608	2,109	2,558	2,343
Inventory	13,855	19,062	24,276	20,263	22,788	22,773
Total current assets	28,810	31,313	48,943	41,903	42,686	40,547
Current liabilities						
Accounts payable and accrued liabilities	(8,523)	(8,380)	(12,844)	(9,606)	(11,356)	(9,652)
Total current liabilities	(8,523)	(8,380)	(12,844)	(9,606)	(11,356)	(9,652)
Reported NWC, Operating entities	**20,288**	**22,932**	**36,099**	**32,296**	**31,330**	**30,895**
Management adjustments						
1 Inventory normalization	-	(5,781)	-	-	(2,459)	(3,143)
2 Intercompany transactions	653	616	1,462	(392)	285	769
3 CEWS impact to inventory	-	-	2,287	-	-	722
4 CEWS subsidy accrual	-	-	(330)	-	-	(494)
5 Excess AFDA	-	583	516	-	49	359
6 Litigation settlement	-	-	-	-	927	337
7 General FY20 suspense accrual (FX)	-	500	500	-	42	333
8 AP normalization	-	-	-	-	-	278
9 Excess CN	-	348	348	-	29	232
10 AR normalization	-	-	-	-	-	(153)
11 Over accrual of bonuses	-	121	-	-	10	61
12 Underaccrual of royalty income	-	85	-	-	7	28
13 Misc receivables	-	-	-	(1,059)	-	-
Management adjustments	653	(3,528)	4,783	(1,451)	(1,110)	(669)
NWC, Management adjusted	**20,940**	**19,404**	**40,882**	**30,846**	**30,219**	**30,226**
Diligence adjustments	153	2,849	31	146	1,035	746
NWC, Diligence adjusted	**21,093**	**22,253**	**40,913**	**30,992**	**31,255**	**30,972**
As % of TTM net sales	*20.8%*	*21.7%*	*43.5%*	*30.6%*	*30.3%*	*31.2%*
Consolidation entities				(634)	(153)	(153)
NWC, Diligence adj including Other entities				**30,358**	**31,102**	**30,819**

Source: Management provided information; KPMG analysis

Management adjustments (continued)

2. **Intercompany transactions:** Reflects the following incremental intercompany eliminations:

Intercompany transactions			
	As at		
$'000	28-Feb-19	29-Feb-20	30-Sep-20
Intercompany AP - GFI	26	-	215
Income tax related to sales to GFA	(313)	(467)	(506)
AR - GII	-	(0)	-
HK import commissions - GFI	939	1,084	1,333
HK import commissions - GFA	-	-	295
HK import commissions - GFE	-	-	125
Intercompany transactions adjustment	**653**	**616**	**1,462**

Source: Management provided information; KPMG analysis

- *Intercompany AP – GFI*: Relates to payables from GFE to GFI. In the Company's consolidation schedules, GFI's receivable is eliminated but the corresponding payable elimination is recorded against the "Advances from company under common control" account (in non-current liabilities). However, the payable resides in GFE's AP and is excluded for NWC purposes.
- *Income tax related to sales to GFA:* GFI pays income tax based on its sales, which include intercompany sales to GFA. At year-end, Management calculates a prepaid income tax asset relating to the estimated profit on unsold inventory at GFA. As an income tax item, this balance is removed from NWC as transfer pricing / tax structure may differ under new ownership.
- *AR – GII:* Intercompany receivable from GME (offset in GME AP). The balance is reclassified out of AR in October 2019.
- *HK import commissions:* Accounts payable in GFI, GFA, and GFE include intercompany amounts due to GHK (import commission fee), which is excluded from NWC.

3. **CEWS impact to inventory:** The Company's inventory in YTD Sep-20 is understated due to CEWS relieving a portion of direct labour that would have otherwise been included in the cost base. This adjustment reflects Management's estimate of the labour costs which would have been capitalized to inventory.

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Net working capital (4/12) - Management adjustments (continued)

Net working capital

$'000	As at 28-Feb-19	As at 29-Feb-20	As at 30-Sep-20	Average FY19	Average FY20	Average TTM Sep-20
Current assets						
Accounts receivable	12,927	10,113	22,059	19,530	17,340	15,431
Prepaid expenses and deposits	2,028	2,137	2,608	2,109	2,558	2,343
Inventory	13,855	19,062	24,276	20,263	22,788	22,773
Total current assets	28,810	31,313	48,943	41,903	42,686	40,547
Current liabilities						
Accounts payable and accrued liabilities	(8,523)	(8,380)	(12,844)	(9,606)	(11,356)	(9,652)
Total current liabilities	(8,523)	(8,380)	(12,844)	(9,606)	(11,356)	(9,652)
Reported NWC, Operating entities	**20,288**	**22,932**	**36,099**	**32,296**	**31,330**	**30,895**
Management adjustments						
1 Inventory normalization	-	(5,781)	-	-	(2,459)	(3,143)
2 Intercompany transactions	653	616	1,462	(392)	285	769
3 CEWS impact to inventory	-	-	2,287	-	-	722
4 CEWS subsidy accrual	-	-	(330)	-	-	(494)
5 Excess AFDA	-	583	516	-	49	359
6 Litigation settlement	-	-	-	-	927	337
7 General FY20 suspense accrual (FX)	-	500	500	-	42	333
8 AP normalization	-	-	-	-	-	278
9 Excess CN	-	348	348	-	29	232
10 AR normalization	-	-	-	-	-	(153)
11 Over accrual of bonuses	-	121	-	-	10	61
12 Underaccrual of royalty income	-	85	-	-	7	28
13 Misc receivables	-	-	-	(1,059)	-	-
Management adjustments	653	(3,528)	4,783	(1,451)	(1,110)	(669)
NWC, Management adjusted	**20,940**	**19,404**	**40,882**	**30,846**	**30,219**	**30,226**
Diligence adjustments	153	2,849	31	146	1,035	746
NWC, Diligence adjusted	**21,093**	**22,253**	**40,913**	**30,992**	**31,255**	**30,972**
As % of TTM net sales	*20.8%*	*21.7%*	*43.5%*	*30.6%*	*30.3%*	*31.2%*
Consolidation entities				(634)	(153)	(153)
NWC, Diligence adj including Other entities				**30,358**	**31,102**	**30,819**

Source: Management provided information; KPMG analysis

Management adjustments (continued)

4. **CEWS subsidy accrual:** This adjustment removes CEWS receivables from net working capital as they represent a non-recurring item.

5. **Excess AFDA:** In accordance with Quality of earnings adjustment #4, this adjustment removes excess AFDA balances from AR which were recorded to account for expected losses due to COVID-19.

Excess AFDA

$'000	As at 28-Feb-19	As at 29-Feb-20	As at 30-Sep-20
AFDA, reported	(101)	(894)	(884)
Excess AFDA - GFI	-	180	125
Excess AFDA - GFA	-	403	391
Excess AFDA	**-**	**583**	**516**

Source: Management provided information; KPMG analysis

6. **Litigation settlement:** In accordance with quality of earnings adjustment #11, this adjustment removes balances related to a one-time litigation settlement of $700,000 and recovery of legal expenses of $311,000 as a result of bankruptcy proceedings for a Norwegian distributor. These balances were recorded as a deferred liability balance upon cash receipt and is removed for normalization purposes.

7. **General FY20 suspense accrual (FX):** Relating to quality of earnings adjustment #6, this adjustment removes a $500,000 general expense accrual which is considered non-operational and was accrued due to uncertainty regarding COVID-19.

8. **AP normalization:** Management has represented a delay in payments as a result of COVID-19 in the period March 2020 to July 2020. This adjustment normalizes AP by re-calculating AP net of intercompany purchases and applying a normalized DPO of 70.

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Net working capital (5/12) - Management adjustments (continued)

Net working capital

$'000	As at 28-Feb-19	As at 29-Feb-20	As at 30-Sep-20	Average FY19	Average FY20	Average TTM Sep-20
Current assets						
Accounts receivable	12,927	10,113	22,059	19,530	17,340	15,431
Prepaid expenses and deposits	2,028	2,137	2,608	2,109	2,558	2,343
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As % of TTM net sales	*20.8%*	*21.7%*	*43.5%*	*30.6%*	*30.3%*	*31.2%*
Consolidation entities				(634)	(153)	(153)
NWC, Diligence adj including Other entities				**30,358**	**31,102**	**30,819**

Source: Management provided information; KPMG analysis

Management adjustments (continued)

9. **Excess CN:** Removes the excess credit note accrual recorded by Management in February 2020 (and carried forward in YTD Sep-20). Refer to quality of earnings adjustment #5 for further details.

Excess CN

$'000	As at 28-Feb-19	As at 29-Feb-20	As at 30-Sep-20
AFCN, reported	(1,177)	(1,081)	(2,050)
Excess CN - GFI, seller provided	-	150	-
Excess CN - GFA, seller provided	-	134	-
Excess CN - Corrected	-	348	348
Excess CN	**-**	**348**	**348**

Source: Management provided information; KPMG analysis

10. **AR normalization:** Management represents that there was a delay in collections in April and May 2020. This adjustment normalizes AR by re-calculating AR based on a normalized DSO of 65.

11. **Over accrual of bonuses:** Relating to Quality of earnings adjustment #8, this adjustment removes excess bonus from the accrual up to the period of payment (August 2020).

12. **Underaccrual of royalty income:** In accordance with quality of earnings adjustment #7, this adjustment adjusts the royalty income accrual to actual amounts earned. The Company under-accrued FY20 royalty income due to uncertainty regarding COVID-19.

13. **Misc receivables:** Relates to Roynat long term debt interest rebate (-$24,000) and sale of vehicle ($101,000) as at February 2020. Amounts related to the Roynat term loan should be considered net debt. We have also removed the receivable from the sale of vehicle from working capital on the basis that it is non-operational.

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Net working capital (6/12) - Diligence adjustments

Net working capital	As at			Average		
$'000	28-Feb-19	29-Feb-20	30-Sep-20	FY19	FY20	TTM Sep-20
Current assets						
Accounts receivable	12,927	10,113	22,059	19,530	17,340	15,431
Prepaid expenses and deposits	2,028	2,137	2,608	2,109	2,558	2,343
Inventory	13,855	19,062	24,276	20,263	22,788	22,773
Total current assets	28,810	31,313	48,943	41,903	42,686	40,547
Current liabilities						
Accounts payable and accrued liabilities	(8,523)	(8,380)	(12,844)	(9,606)	(11,356)	(9,652)
Total current liabilities	(8,523)	(8,380)	(12,844)	(9,606)	(11,356)	(9,652)
Reported NWC, Operating entities	**20,288**	**22,932**	**36,099**	**32,296**	**31,330**	**30,895**
Management adjustments	653	(3,528)	4,783	(1,451)	(1,110)	(669)
NWC, Management adjusted	**20,940**	**19,404**	**40,882**	**30,846**	**30,219**	**30,226**
Diligence adjustments						
A Walmart inventory adj	-	(328)	-	-	(617)	(319)
B True-up to inventory normalization	-	3,149	-	-	1,589	1,024
14 Inventory normalization	-	2,821	-	-	972	705
15 True-up to AR normalization	-	-	-	-	-	281
16 AP normalization reversal	-	-	-	-	-	(278)
17 Accrued interest	22	6	17	15	34	22
18 AP impact - QoE adjustments	131	22	14	131	29	17
Diligence adjustments	153	2,849	31	146	1,035	746
NWC, Diligence adjusted	**21,093**	**22,253**	**40,913**	**30,992**	**31,255**	**30,972**
As % of TTM net sales	*20.8%*	*21.7%*	*43.5%*	*30.6%*	*30.3%*	*31.2%*
Consolidation entities				(634)	(153)	(153)
NWC, Diligence adj including Other entities				**30,358**	**31,102**	**30,819**

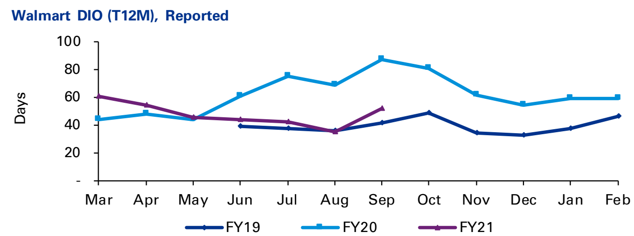
Source: Management provided information; KPMG analysis

Diligence adjustments

- The following are adjustments identified during diligence.

14. **Inventory normalization:** This adjustment reflects a true-up to the normalization adjustment proposed by Management.

    A. *Walmart inventory adj*: Based on discussion with Management, and as outlined by the Walmart-specific DIO trends below, there was an abnormal slow-down in Walmart inventory turnover from July 2019 to May 2020 due to change in Walmart purchasing pattern resulting in a buildup of inventory. This adjustment reduces Walmart inventory during this period (based on an average of prior-year and current-year DIO for each impacted month).



Source: Management provided information; KPMG analysis

    B. *True-up to inventory normalization:* Represents the difference between normalized inventory recalculated using a trailing twelve month (T12M) DIO (after considering the Walmart adjustment above), compared to Management's adjustment calculated using a count-forward DIO formula (see adjustment #1). We applied the T12M DIO run-rate as a sensitivity to Management's adjustment.

Inventory normalization	As at		
$'000	28-Feb-19	29-Feb-20	30-Sep-20
Normalized Inventory	13,855	13,281	24,276
Reported inventory + Cap CEWS	13,855	19,062	24,276
Management adjustment	**-**	**(5,781)**	**-**
Inventory, normalized (inc. WM)	13,855	16,102	26,563
Inv (incl CEWS + WM)	13,855	18,734	26,563
Adjustment, KPMG	**-**	**(2,632)**	**-**
Adjustment to Management adj.	**-**	**3,149**	**-**

Source: Management provided information; KPMG analysis

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Net working capital (7/12) - Diligence adjustments (continued)

Net working capital						
	As at			Average		
$'000	28-Feb-19	29-Feb-20	30-Sep-20	FY19	FY20	TTM Sep-20
Current assets						
Accounts receivable	12,927	10,113	22,059	19,530	17,340	15,431
Prepaid expenses and deposits	2,028	2,137	2,608	2,109	2,558	2,343
Inventory	13,855	19,062	24,276	20,263	22,788	22,773
Total current assets	28,810	31,313	48,943	41,903	42,686	40,547
Current liabilities						
Accounts payable and accrued liabilities	(8,523)	(8,380)	(12,844)	(9,606)	(11,356)	(9,652)
Total current liabilities	(8,523)	(8,380)	(12,844)	(9,606)	(11,356)	(9,652)
Reported NWC, Operating entities	**20,288**	**22,932**	**36,099**	**32,296**	**31,330**	**30,895**
Management adjustments	653	(3,528)	4,783	(1,451)	(1,110)	(669)
NWC, Management adjusted	**20,940**	**19,404**	**40,882**	**30,846**	**30,219**	**30,226**
Diligence adjustments						
A Walmart inventory adj	-	(328)	-	-	(617)	(319)
B True-up to inventory normalization	-	3,149	-	-	1,589	1,024
14 Inventory normalization	-	2,821	-	-	972	705
15 True-up to AR normalization	-	-	-	-	-	281
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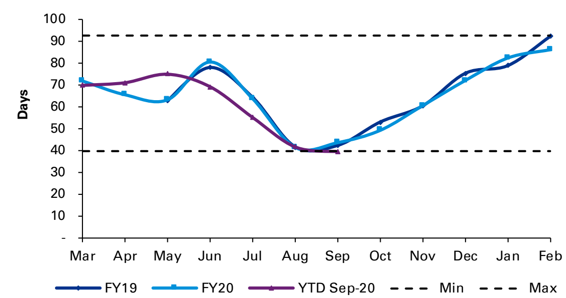
18 AP impact - QoE adjustments	131	22	14	131	29	17
Diligence adjustments	153	2,849	31	146	1,035	746
NWC, Diligence adjusted	**21,093**	**22,253**	**40,913**	**30,992**	**31,255**	**30,972**
As % of TTM net sales	*20.8%*	*21.7%*	*43.5%*	*30.6%*	*30.3%*	*31.2%*
Consolidation entities				(634)	(153)	(153)
NWC, Diligence adj including Other entities				**30,358**	**31,102**	**30,819**

Source: Management provided information; KPMG analysis

Diligence adjustments (continued)

15. **True-up AR normalization:** Reflects a true-up to Management's adjustment #10 which understates the DSO profile in the YTD Sep-20 period, as indicated below.

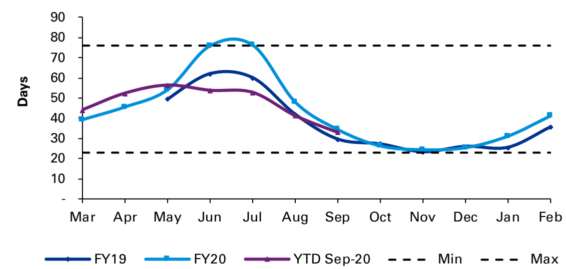
DSO, adjusted



Source: Management provided information; KPMG analysis

16. **AP normalization reversal:** This adjustment reverses Management's NWC adjustment #8 based on analysis of the DPO profile. Accepting Management's adjustment results in a reduced DPO in YTD Sep-20 compared to prior periods, as indicated below.

DPO, adjusted



Source: Management provided information; KPMG analysis

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Net working capital (8/12) - Diligence adjustments (continued)

Net working capital

$'000	As at 28-Feb-19	As at 29-Feb-20	As at 30-Sep-20	Average FY19	Average FY20	Average TTM Sep-20
Current assets						
Accounts receivable	12,927	10,113	22,059	19,530	17,340	15,431
Prepaid expenses and deposits	2,028	2,137	2,608	2,109	2,558	2,343
Inventory	13,855	19,062	24,276	20,263	22,788	22,773
Total current assets	28,810	31,313	48,943	41,903	42,686	40,547
Current liabilities						
Accounts payable and accrued liabilities	(8,523)	(8,380)	(12,844)	(9,606)	(11,356)	(9,652)
Total current liabilities	(8,523)	(8,380)	(12,844)	(9,606)	(11,356)	(9,652)
Reported NWC, Operating entities	**20,288**	**22,932**	**36,099**	**32,296**	**31,330**	**30,895**
Management adjustments	653	(3,528)	4,783	(1,451)	(1,110)	(669)
NWC, Management adjusted	**20,940**	**19,404**	**40,882**	**30,846**	**30,219**	**30,226**
Diligence adjustments						
A Walmart inventory adj	-	(328)	-	-	(617)	(319)
B True-up to inventory normalization	-	3,149	-	-	1,589	1,024
14 Inventory normalization	-	2,821	-	-	972	705
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18 AP impact - QoE adjustments	131	22	14	131	29	17
Diligence adjustments	153	2,849	31	146	1,035	746
NWC, Diligence adjusted	**21,093**	**22,253**	**40,913**	**30,992**	**31,255**	**30,972**
As % of TTM net sales	*20.8%*	*21.7%*	*43.5%*	*30.6%*	*30.3%*	*31.2%*
Consolidation entities				(634)	(153)	(153)
NWC, Diligence adj including Other entities				**30,358**	**31,102**	**30,819**

Source: Management provided information; KPMG analysis

Diligence adjustments (continued)

17. **Accrued interest:** This adjustment removes accrued interest balances from net working capital that were recorded in accrued liabilities. This is a definitional adjustment as these balance are considered net debt.

18. **AP impact – QoE adjustments:** This adjustment calculates the working capital impact of QoE adjustments #3 and #9 (transactional and non-operational expenses) using an implied DPO metric of 30. These amounts are removed from working capital on the basis that they are non-operating in nature.

Accounts payable

$'000	As at 28-Feb-19	As at 29-Feb-20	As at 30-Sep-20
3 Transaction related costs	115	44	7
9 Non-operational expenses	18	8	7
Expenses to adjust	133	52	14
DPO	30	30	30
NWC adjustment	**131**	**22**	**14**

Source: Management provided information; KPMG analysis

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Net working capital (9/12) - Consolidation entries

Net working capital						
	As at			Average		
$'000	28-Feb-19	29-Feb-20	30-Sep-20	FY19	FY20	TTM Sep-20
Current assets						
Accounts receivable	12,927	10,113	22,059	19,530	17,340	15,431
Prepaid expenses and deposits	2,028	2,137	2,608	2,109	2,558	2,343
Inventory	13,855	19,062	24,276	20,263	22,788	22,773
Total current assets	28,810	31,313	48,943	41,903	42,686	40,547
Current liabilities						
Accounts payable and accrued liabilities	(8,523)	(8,380)	(12,844)	(9,606)	(11,356)	(9,652)
Total current liabilities	(8,523)	(8,380)	(12,844)	(9,606)	(11,356)	(9,652)
Reported NWC, Operating entities	**20,288**	**22,932**	**36,099**	**32,296**	**31,330**	**30,895**
Management adjustments	653	(3,528)	4,783	(1,451)	(1,110)	(669)
NWC, Management adjusted	**20,940**	**19,404**	**40,882**	**30,846**	**30,219**	**30,226**
Diligence adjustments	153	2,849	31	146	1,035	746
NWC, Diligence adjusted	**21,093**	**22,253**	**40,913**	**30,992**	**31,255**	**30,972**
As % of TTM net sales	*20.8%*	*21.7%*	*43.5%*	*30.6%*	*30.3%*	*31.2%*
Consolidation entities						
FX variance				(0)	(0)	(0)
GME				205	(54)	(54)
GHK				565	710	710
GFI/GHK Elim				(686)	(809)	(809)
7605757 Canada Inc				0	0	0
Reclass				(719)	-	-
Consolidation entities				(634)	(153)	(153)
NWC, Diligence adj including Other entities				**30,358**	**31,102**	**30,819**

Source: Management provided information; KPMG analysis

Consolidation entities

- Similar to the approach taken for EBITDA and quality of earnings, the net working capital of consolidation entities and entries (i.e. GME, GHK, elimination entries, and FX) are included to present a consolidated view.
- Given these entities and entries are only compiled by Management at year-end, the February 2019 and February 2020 balances have been used as a proxy for FY19 average and FY20/TTM Sep-20 average, respectively.

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Net working capital (10/12) - Other considerations

Other considerations

- The following includes potential net working capital considerations identified during due diligence. These items relate to other potential issues that should be considered in the overall evaluation of the business. In addition, these items may be subjective in nature and as a result, have not been included in the net working capital schedule.

A. **COVID impact:** The below table summarizes the indicative NWC impact of COVID-19. The Company's YTD Sep-20 revenues were negatively impacted, Management had reduced discretionary marketing spend, and implemented a corporate wage reduction to compliment funds received from CEWS. These business changes have resulted in a reduction of accounts receivable, payables, and payroll-related accruals.

COVID impact

	As at			Average		
$'000	28-Feb-19	29-Feb-20	30-Sep-20	FY19	FY20	TTM Sep-20
Revenue	-	-	(1,380)	-	-	713
DSO	-	-	39	-	-	37
AR Adjustment	-	-	1,613	-	-	2,167
Advertising and travel	-	-	(182)	-	-	(57)
Commission	-	-	36	-	-	(19)
Additional credit insurance	-	-	3	-	-	2
Additional customer discounts	-	-	4	-	-	2
Expenses to adjust	-	-	(140)	-	-	(72)
DPO	-	-	30	-	-	18
AP adjustment	-	-	(184)	-	-	(60)
Warehouse	-	-	(34)	-	-	(29)
Selling	-	-	(23)	-	-	(27)
Admin	-	-	(76)	-	-	(110)
Labour expenses to adjust	-	-	(134)	-	-	(166)
NWC adjustment	**-**	**-**	**1,295**	**-**	**-**	**1,942**

Source: Management provided information; KPMG analysis

— **AR adjustment:** Estimated the impact of reduced revenues during the YTD Sep-20 period on accounts receivable using an average DSO of the current month and the same month in the prior year.

— **AP adjustment:** Estimated the impact of reduced expenses in advertising and travel, commission, as well as additional credit insurance and customer discounts in the YTD Sep-20 period. A DPO of 30 was used, which is the Company's standard payment terms to vendors.

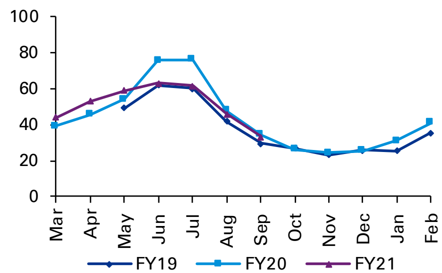
— **Labour accrual adjustment:** Eliminated the impact to payroll-related accruals of reversing CEWS subsidies received, corporate wage reductions (20% from mid-April to mid-July), and factory closures in Canada and Germany.

B. **DPO normalization:** Net of working capital adjustments, the Company's adjusted DPO from March 2019 to August 2019 appeared higher than normal due to increased production. This adjustment normalizes DPO by adjusting accounts payable to adjusted AP levels from the prior year. The charts below illustrate the adjusted DPO before and after this normalization.

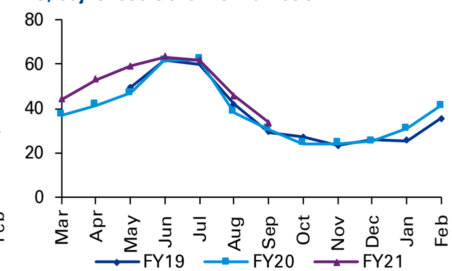
AP normalization - Jun/Jul 2019

	As at			Average		
$'000	28-Feb-19	29-Feb-20	30-Sep-20	FY19	FY20	TTM Sep-20
Adjusted AP and accruals	(7,404)	(6,648)	(10,345)	(8,388)	(9,045)	(7,607)
Additional normalization adj	-	-	-	-	1,643	-
Adj AP/Accruals after addtl normalization	(7,404)	(6,648)	(10,345)	(8,388)	(7,402)	(7,607)
COGS for Days calc	(4,088)	(3,420)	(10,683)	(5,575)	(5,409)	(4,974)
Opex for Days calc	(1,615)	(1,443)	(1,782)	(2,050)	(1,909)	(1,578)
DPO, adj	36	41	33	38	43	42
DPO, adj for additional normalization	36	41	33	38	39	42
NWC adjustment	**-**	**-**	**-**	**-**	**821**	**-**

DPO, adj



DPO, adj for additional normalization



Source: Management provided information; KPMG analysis

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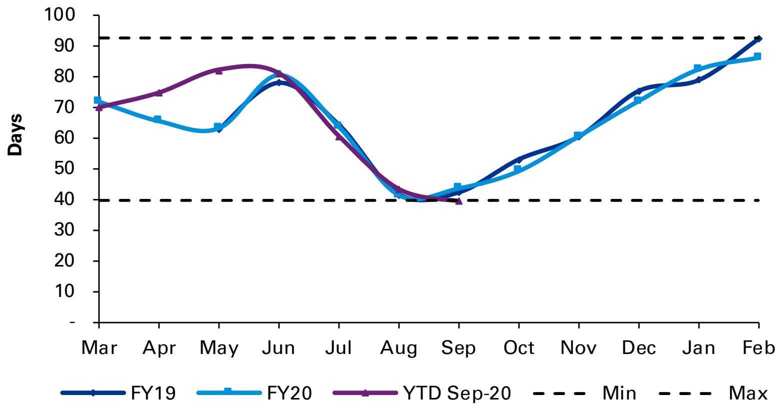
Net working capital (11/12) - Metrics

The table below presents the Company's adjusted net working capital metrics at September 30, 2020. Metrics are aligned with expectations given the Company's seasonality in sales. Working capital increases during high sales months between July and October) (reflecting buildup of inventory and conversion to AR/sales) and decreases quickly thereafter.

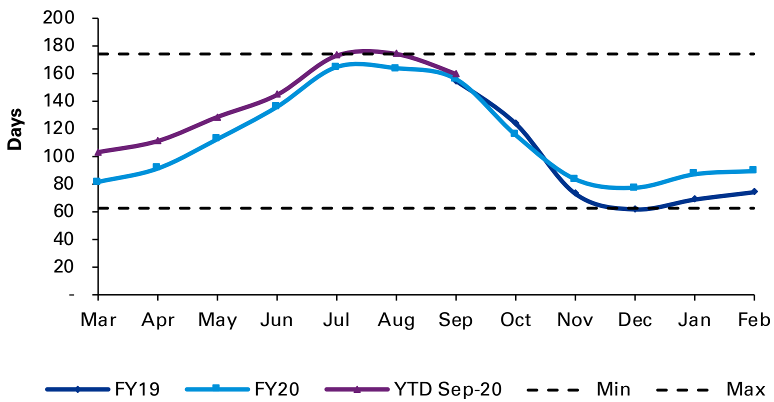
Adjusted

DSO, adjusted



Source: Management provided information; KPMG analysis

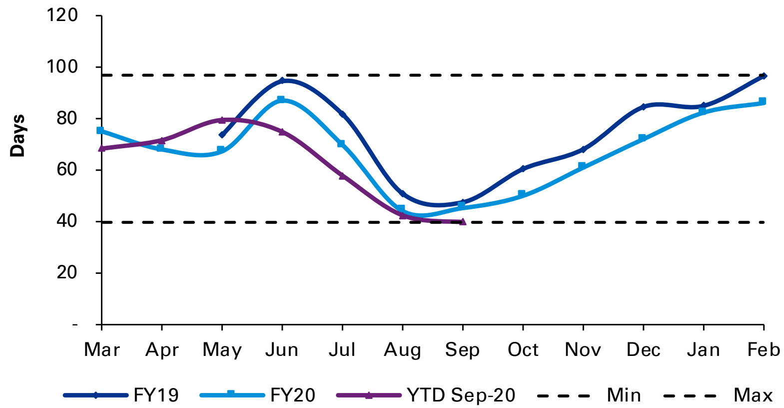
DIO, adjusted



Source: Management provided information; KPMG analysis

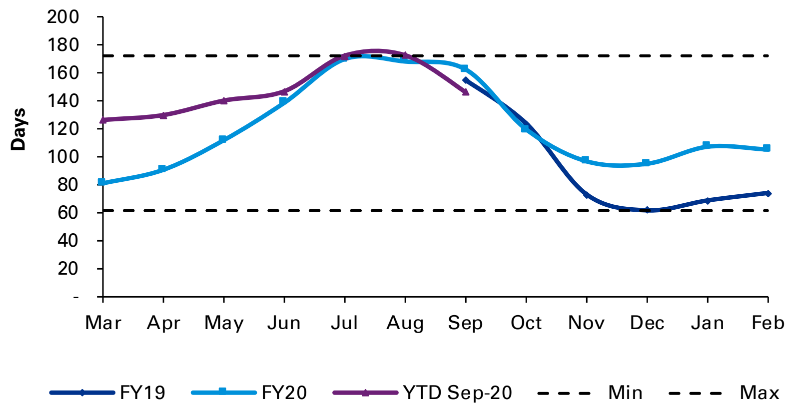
Reported

DSO, reported



Source: Management provided information; KPMG analysis

DIO, reported



Source: Management provided information; KPMG analysis

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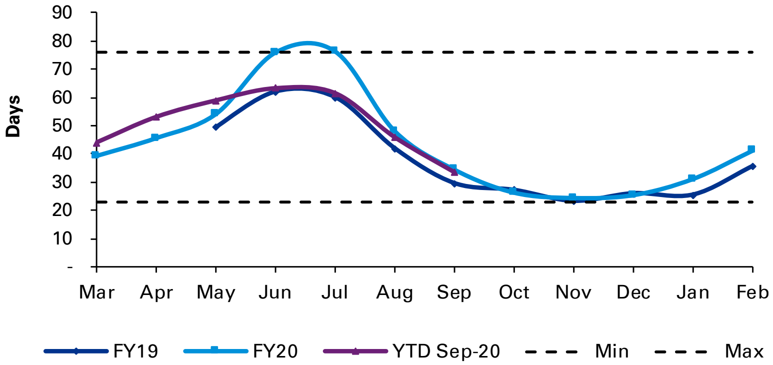
Net working capital (12/12) - Metrics (continued)

Adjusted

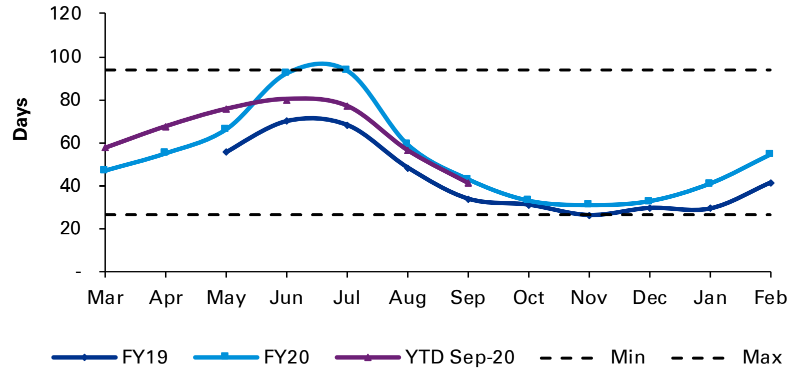
DPO, adjusted



Source: Management provided information; KPMG analysis

Reported

DPO, reported



Source: Management provided information; KPMG analysis

Net debt

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Net debt

Adjusted net debt is $25.7 million as at September 30, 2020.

Net debt	
$'000	**30-Sep-20**
Reported	
Demand loan	(7,057)
Bank overdraft	(2,443)
Cash	1,851
Cash and cash equivalents	**(7,650)**
Advances to company under common control	3,667
Loans receivable, companies under common control	5,187
Advances from companies under common control	388
Intercompany balances, net	9,241
Income taxes payable	1,768
Balance on redemption of shares	(5,463)
Interco - Genfoot Realty	(10,316)
Promissory note - Shareholders	(2,539)
Other - Shareholders	1,591
Loans payable, companies under common control	(1,078)
Loans payable	(12,343)
Long-term debt	(706)
Debt and Debt-like items	**(7,502)**
Net debt, reported	**(15,152)**
Adjustments	
1 Intercompany balances	(9,241)
2 Holding company debt	(1,285)
3 Accrued interest	(17)
4 FX hedging contracts	n.q.
Adjustments	(10,543)
Net debt, adjusted	**(25,695)**

Source: Management provided information; KPMG analysis

Overview

- The adjacent table summarizes the components of net debt as at September 30, 2020. These components include:
- **Cash and cash equivalents:** Reported cash balances, net of overdrafts and draws on the company's demand loan.
- **Intercompany balances, net:** Reported intercompany receivables, net of amounts payable.
- **Income taxes payable:** Reported income tax payables, net of amounts receivable.
- **Balance on redemption of shares:** Represents $4.9 million balance of share redemption payable and $0.5 million promissory note to C. Cook Holdings.
- **Loans payable:** Reflects loans from related parties (i.e. shareholders and companies under common control).
- **Long-term debt:** Balance as at September 2020 relates to PPP loans in GFA.

Adjustments

1. **Intercompany balances:** Represents intercompany amounts which are debt-like in nature are eliminated at year end upon consolidation. As September is not a year-end month, the balance is included as an adjustment.
2. **Holding company debt:** Reflects debt from the Company's holding companies (which form part of the combined audited financials). The results from the holding companies are only included at year end as part of the consolidation process.
3. **Accrued interest:** Represents accrued interest amounts recorded in accrued liabilities. These amounts are considered debt in nature.
4. **FX hedging contracts:** The Company utilizes derivative instruments (typically entered into in February and settled from October – January) to manage its FX exposure. As of the date of this report, the remaining contract is a put option to sell US$4 million at a rate of 1.335 (TD holds the option and the Company is the counterparty). This contract settles on January 15, 2021.

Other considerations

- **Corporate wage reduction:** Management implemented a 20% corporate wage reduction due to uncertainty regarding the pandemic starting mid-April 2020 to mid-July 2020. Based on discussions with Management, they intend to repay these wages to employees. Management estimates the payment to be $291,000.

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Appendix

1. Adjusted income statement
2. Reconciliation to audited financials
3. Sales database reconciliation to trial balances
4. Rent summary
5. Personnel analysis
6. Indicative inventory aging
7. Capital expenditures
8. Intercompany elimination
9. Foreign currency impact
10. Engagement letter procedures

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Adjusted income statement

The below table presented an adjusted view of the combined income statement.

Adjusted income statement	Reported			Management adjusted			Diligence adjusted			As % of revenue		
$'000	FY19	FY20	TTM Sep-20	FY19	FY20	TTM Sep-20	FY19	FY20	TTM Sep-20	*FY19*	*FY20*	*TTM Sep-20*
Sales	101,272	102,209	93,648	101,222	102,638	94,032	101,222	102,638	94,032	*100.0%*	*100.0%*	*100.0%*
Cost of sales	(6,275)	(4,827)	(4,459)	(6,141)	(4,661)	(4,273)	(6,141)	(4,661)	(4,273)	*(6.1)%*	*(4.5)%*	*(4.5)%*
Depr. Expense - Mach.& Equip.	(1,120)	(1,226)	(1,030)	-	-	-	-	-	-	-	-	-
Purchases	(60,629)	(60,079)	(55,167)	(60,788)	(60,079)	(55,167)	(60,446)	(59,896)	(54,982)	*(59.7)%*	*(58.4)%*	*(58.5)%*
Cost of goods sold	(68,025)	(66,133)	(60,655)	(66,929)	(64,741)	(59,440)	(66,587)	(64,557)	(59,254)	*(65.8)%*	*(62.9)%*	*(63.0)%*
Gross profit	**33,248**	**36,076**	**32,992**	**34,293**	**37,897**	**34,592**	**34,635**	**38,081**	**34,778**	***34.2%***	***37.1%***	***37.0%***
Warehousing	(5,487)	(5,743)	(4,937)	(5,935)	(5,589)	(4,843)	(5,825)	(5,847)	(5,109)	*(5.8)%*	*(5.7)%*	*(5.4)%*
Selling	(10,193)	(10,230)	(8,375)	(11,086)	(11,043)	(9,026)	(11,086)	(11,043)	(9,055)	*(11.0)%*	*(10.8)%*	*(9.6)%*
Administration	(10,052)	(8,363)	(7,026)	(7,457)	(7,325)	(6,356)	(7,469)	(7,354)	(6,381)	*(7.4)%*	*(7.2)%*	*(6.8)%*
Operating income	**7,515**	**11,739**	**12,654**	**9,815**	**13,940**	**14,367**	**10,255**	**13,838**	**14,232**	***10.1%***	***13.5%***	***15.1%***
Financial	(1,033)	(2,662)	(2,121)	(270)	(283)	(164)	(496)	(604)	(486)	*(0.5)%*	*(0.6)%*	*(0.5)%*
Translation FX loss (gain)	110	66	77	31	335	249	(13)	-	-	*(0.0)%*	-	-
Royalies	268	246	311	674	443	424	654	423	404	*0.6%*	*0.4%*	*0.4%*
Profit before taxes	**6,860**	**9,389**	**10,921**	**10,251**	**14,435**	**14,875**	**10,400**	**13,657**	**14,150**	***10.3%***	***13.3%***	***15.0%***
Income taxes	(1,488)	(2,245)	(2,603)	-	-	-	-	-	-	-	-	-
Provision For Income Taxes	(528)	(664)	(664)	-	-	-	-	-	-	-	-	-
Net income	**4,843**	**6,479**	**7,654**	**10,251**	**14,435**	**14,875**	**10,400**	**13,657**	**14,150**	***10.3%***	***13.3%***	***15.0%***
EBITDA Calculation												
Income taxes	2,016	2,909	3,267	-	-	-	-	-	-	-	-	-
Interest	761	1,883	1,459	-	-	-	-	-	-	-	-	-
Depreciation	1,328	1,477	1,247	-	-	-	-	-	-	-	-	-
EBITDA	**8,949**	**12,749**	**13,627**	**10,251**	**14,435**	**14,875**	**10,400**	**13,657**	**14,150**	***10.3%***	***13.3%***	***15.0%***

Source: Management provided financials, KPMG analysis

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Reconciliation to audited financial statements (1)- Income statement

The table below contains the reconciliation of audited financial statements to internal numbers provided.

Combined IS - Recon

$'000	Combined Per model	FX Variance (1)	GME (CAD) (2)	GHK (CAD) (3)	GFI / GHK elim. (3)	"175" Can Inc. (4)	Other elim. (5)	Unreal FX. (6)	Reclass (7)	Combined FY19	Difference	Audited FY19
Net sales	101,272	(49)	(5)	1,382	(1,378)	-	-	-	-	101,222	0	101,222
Cost of goods sold	(68,025)	68	(54)	(1,249)	1,370	-	-	-	-	(67,890)	(13)	(67,903)
Gross profit	**33,248**	**19**	**(60)**	**133**	**(8)**	**-**	**-**	**-**	**-**	**33,332**	**(13)**	**33,319**
Warehousing	(5,487)	(0)	-	-	-	-	-	-	-	(5,488)	0	(5,488)
Selling	(10,193)	22	(878)	-	-	-	-	-	-	(11,048)	(0)	(11,048)
Administration	(10,052)	73	696	-	-	(224)	(13)	-	-	(9,521)	(0)	(9,521)
Financial	(1,033)	(1)	3	-	-	40	-	-	44	(947)	0	(947)
Royalties	268	(12)	419	-	-	-	-	-	-	674	0	674
Translation FX loss (gain)	110	(171)	168	-	90	-	13	(165)	(44)	-	-	-
Expenses	(26,388)	(90)	407	-	90	(184)	-	(165)	-	(26,329)	0	(26,329)
Earnings before taxes	**6,860**	**(70)**	**348**	**133**	**82**	**(184)**	**-**	**(165)**	**-**	**7,003**	**(13)**	**6,990**
Income taxes	(2,016)	4	(55)	(7)	-	-	1	-	-	(2,074)	4	(2,070)
Net income	**4,843**	**(67)**	**293**	**126**	**82**	**(184)**	**1**	**(165)**	**-**	**4,929**	**(9)**	**4,920**
Income taxes	2,016	(4)	55	7	-	-	(1)	-	-	2,074	(4)	2,070
Interest	761	102	-	-	-	(40)	-	-	-	823	(83)	741
Depreciation	1,328	(9)	18	-	-	-	-	-	-	1,337	0	1,337
Reported EBITDA	**8,949**	**22**	**366**	**133**	**82**	**(224)**	**-**	**(165)**	**-**	**9,163**	**(96)**	**9,067**

Combined IS - Recon

$'000	Combined Per model	FX Variance (1)	GME (CAD) (2)	GHK (CAD) (3)	GFI / GHK elim. (3)	"175" Can Inc. (4)	Other elim. (5)	Unreal FX. (6)	Reclass (7)	Combined FY20	Difference	Audited FY20
Net sales	102,209	71	8	1,450	(1,448)	-	-	-	-	102,290	0	102,290
Cost of goods sold	(66,133)	(36)	(6)	(1,215)	1,423	-	-	-	-	(65,967)	7	(65,959)
Gross profit	**36,076**	**35**	**3**	**234**	**(25)**	**-**	**-**	**-**	**-**	**36,323**	**7**	**36,331**
Warehousing	(5,743)	(1)	-	-	-	-	-	-	-	(5,744)	0	(5,744)
Selling	(10,230)	(11)	(802)	-	-	-	-	-	-	(11,043)	(0)	(11,043)
Administration	(8,363)	34	834	-	-	-	78	-	-	(7,417)	0	(7,417)
Financial	(2,662)	(2)	(1)	-	-	-	-	-	335	(2,331)	(0)	(2,331)
Royalties	246	(8)	120	-	-	-	-	-	-	358	(0)	358
Translation FX loss (gain)	66	(18)	57	-	46	-	(78)	262	(335)	-	-	-
Expenses	(26,687)	(6)	208	-	46	-	-	262	-	(26,177)	(0)	(26,177)
Earnings before taxes	**9,389**	**30**	**210**	**234**	**22**	**-**	**-**	**262**	**-**	**10,147**	**7**	**10,154**
Income taxes	(2,909)	1	(46)	(13)	-	-	-	-	-	(2,967)	(2)	(2,969)
Net income	**6,479**	**31**	**164**	**222**	**22**	**-**	**-**	**262**	**-**	**7,180**	**5**	**7,185**
Income taxes	2,909	(1)	46	13	-	-	-	-	-	2,967	3	2,970
Interest	1,883	1	-	-	-	-	-	-	-	1,883	(43)	1,841
Depreciation	1,477	(11)	20	-	-	-	-	-	-	1,485	(8)	1,477
Reported EBITDA	**12,749**	**19**	**230**	**234**	**22**	**-**	**-**	**262**	**-**	**13,515**	**(43)**	**13,473**

Remaining variances between the combined financials and the audited financial statements include rounding related to the adjustment for excess profit for Canadian made inventory still held in GFA.

Source: 1. Project Puddles - Combined Financial Statements (FY19 & FY20)

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Reconciliation to audited financial statements (2)- Balance sheet

The table below contains the reconciliation of audited financial statements to internal numbers provided.

Combined BS - Recon

$'000	Combined Per model	FX Variance (1)	GME (CAD) (2)	GHK (CAD) (3)	GFI / GHK elim. (3)	"760" Can Inc. (4)	"760" elim. (4)	Other elim. (5)	Reclass [6]	Interco. [7]	Combined 28-Feb-19	Difference	Audited 28-Feb-19	
Assets														
Cash	8,505	(0)	171	179	-	0	-	-	-	-	8,855	(0)	8,855	1
Accounts receivable	12,927	0	125	698	(686)	0	-	-	(567)	-	12,497	26	12,523	
Inventory	13,855	133	3	-	-	-	-	-	1,006	-	14,997	(12)	14,985	2
Advances from subsidiary company	-	-	-	-	-	-	-	-	-	-	-	-	-	
Advances to company under common control	3,508	(0)	(4,227)	-	-	-	-	-	719	-	-	-	-	
Accounts to companies under common control	-	-	-	-	-	-	-	-	-	-	-	-	-	
Prepaid expenses and deposits	2,028	(133)	7	4	-	-	-	-	(710)	-	1,196	3	1,200	3
Current assets	40,824	(0)	(3,921)	881	(686)	0	-	-	447	-	37,545	17	37,562	
Property, plant and equipment	5,191	(67)	63	-	-	-	-	-	-	-	5,187	0	5,187	
Investment in subsidiary company	38	(13)	-	-	-	2,187	(188)	(2,025)	-	-	0	(0)	0	
Investment in company under common control	0	-	-	-	-	-	-	-	-	-	0	(0)	-	
Loans receivable, companies under common control	5,187	-	-	-	-	(5,187)	-	-	-	0	-	-	-	
Total assets	**51,240**	**(79)**	**(3,858)**	**881**	**(686)**	**(3,000)**	**(188)**	**(2,025)**	**447**	**0**	**42,733**	**17**	**42,750**	
Liabilities & equity														
Accounts payable and accrued liabilities	(8,523)	0	71	(137)	939	-	-	-	(447)	-	(8,097)	(0)	(8,097)	
Income taxes payable	(255)	0	(3)	38	-	-	-	1	-	-	(219)	(0)	(219)	
Current liabilities	(8,777)	0	67	(99)	939	-	-	1	(447)	-	(8,316)	(0)	(8,316)	
Balance on redemption of shares	(6,522)	-	-	-	-	-	-	-	(5,969)	-	(12,491)	0	(12,491)	
Advances from company under common control	27	0	0	-	-	-	-	-	-	(27)	-	-	-	
Loans payable, companies under common control	(917)	(0)	-	-	-	-	-	-	-	(14,570)	(15,487)	(27)	(15,514)	4
Loans payable	(14,597)	-	-	-	-	-	-	-	-	14,597	-	-	-	
Long-term debt	(5,969)	-	-	-	-	-	-	-	5,969	-	-	-	-	
Liabilities	**(36,755)**	**0**	**67**	**(99)**	**939**	**-**	**-**	**1**	**(447)**	**0**	**(36,294)**	**(27)**	**(36,320)**	
Capital	(6,127)	7	(25)	-	-	(34)	-	38	-	-	(6,142)	0	(6,142)	
Opening retained earnings	(4,227)	6	4,109	(655)	16	4,319	-	1,987	-	-	5,554	(8,277)	(2,722)	
Net income	(4,843)	67	(293)	(126)	(82)	-	-	(1)	-	-	(5,279)	359	(4,920)	
Dividends paid	713	-	-	-	-	(1,285)	-	-	-	-	(572)	7,927	7,355	
Equity	(14,485)	79	3,791	(782)	(66)	3,000	-	2,023	-	-	(6,439)	9	(6,429)	5
Liabilities and equity	**(51,240)**	**79**	**3,858**	**(881)**	**873**	**3,000**	**-**	**2,025**	**(447)**	**0**	**(42,732)**	**(17)**	**(42,750)**	

Source: 1. Project Puddles - Combined Financial Statements (FY19 & FY20)

1. Auditors do not eliminate intercompany GFI receivables on sales to GFE, as they are deemed to be immaterial.
2. Auditors round the inventory adjustment related to the excess profit for Canadian made inventory still held in GFA.
3. Auditors round the income tax prepayment adjustment related to the intercompany taxes owed on the excess profit for Canadian made inventory still held in GFA.
4. Offset with AR difference seen above.
5. Immaterial discrepancy at the total equity level.

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Reconciliation to audited financial statements (3)- Balance sheet

The table below contains the reconciliation of audited financial statements to internal numbers provided.

Combined BS - Recon

$'000	Combined Per model	FX Variance (1)	GME (CAD) (2)	GHK (CAD) (3)	GFI / GHK elim. (3)	"760" Can Inc. (4)	"760" elim. (4)	Other elim. (5)	Reclass (6)	Interco. (7)	Combined 29-Feb-20	Difference	Audited 29-Feb-20	
Assets														
Cash	4,676	(0)	383	295		0					5,354	0	5,354	
Accounts receivable	10,113	(0)	262	809	(809)	0					10,374	0	10,375	1
Inventory	19,062	94							1,292		20,448	(5)	20,442	2
Advances from subsidiary company	-	-								-	-	-	-	
Advances to company under common control	4,109	0	(4,109)							0	-	-	-	
Accounts to companies under common control	-	-								-	-	-	-	
Prepaid expenses and deposits	2,137	(94)	7	4					(1,292)		763	2	765	3
Current assets	40,097	(0)	(3,457)	1,108	(809)	0	-	-	-	0	36,938	(3)	36,935	
Property, plant and equipment	4,868	(75)	53								4,846	(0)	4,846	
Investment in subsidiary company	38	(12)				2,187	(188)	(2,025)			0	(0)	0	
Investment in company under common control	0	-									0	(0)	-	
Loans receivable, companies under common contr	5,187	-				(6,472)			1,285	-	(0)	0	-	
Total assets	**50,189**	**(88)**	**(3,404)**	**1,108**	**(809)**	**(4,285)**	**(188)**	**(2,025)**	**1,285**	**0**	**41,785**	**(3)**	**41,782**	
Liabilities & equity														
Accounts payable and accrued liabilities	(8,380)	(0)	(323)	(103)	1,084						(7,722)	0	(7,722)	
Income taxes payable	(580)	0	100	(2)				1			(481)	(0)	(481)	
Current liabilities	(8,961)	0	(223)	(104)	1,084	-	-	1	-	-	(8,204)	(0)	(8,204)	
Balance on redemption of shares	(5,853)	-									(5,853)	(0)	(5,853)	
Advances from company under common control	-	(0)								(0)	(0)	0	-	
Loans payable, companies under common control	(872)	(0)								(15,572)	(16,444)	(0)	(16,444)	4
Loans payable	(14,287)	-							(1,285)	15,572	-	-	-	
Long-term debt	-	-									-	-	-	
Liabilities	**(29,973)**	**(0)**	**(223)**	**(104)**	**1,084**	**-**	**-**	**1**	**(1,285)**	**0**	**(30,500)**	**(0)**	**(30,500)**	
Capital	(6,127)	6	(25)			(34)		38			(6,142)	0	(6,142)	
Opening retained earnings	(8,658)	112	3,816	(782)	(66)	4,319		1,987			728	270	997	
Net income	(6,479)	(31)	(164)	(222)	(22)			(1)			(6,919)	(266)	(7,185)	
Dividends paid	1,048	-									1,048	0	1,048	
Equity	(20,216)	87	3,627	(1,003)	(88)	4,285	-	2,023	-	-	(11,285)	4	(11,281)	
Liabilities and equity	**(50,189)**	**87**	**3,404**	**(1,108)**	**996**	**4,285**	**-**	**2,025**	**(1,285)**	**0**	**(41,785)**	**4**	**(41,782)**	5

Source: 1. Project Puddles - Combined Financial Statements (FY19 & FY20)

1. Auditors do not eliminate intercompany GFI receivables on sales to GFE, as they are deemed to be immaterial.
2. Auditors round the inventory adjustment related to the excess profit for Canadian made inventory still held in GFA.
3. Auditors round the income tax prepayment adjustment related to the intercompany taxes owed on the excess profit for Canadian made inventory still held in GFA.
4. Offset with AR difference seen above.
5. Immaterial discrepancy at the total equity level.

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Reconciliation - Sales database to general ledger

The below tables summarize reconciling items between the Management provided sales database and the general ledger.

Sales and gross margin database reconciliation to GL				
$'000 CAD		**FY19**	**FY20**	**TTM Sep-20**
Net sales, database		104,046	104,068	94,963
COGS, database		(67,587)	(68,586)	(62,081)
Gross profit, database		**36,459**	**35,482**	**32,882**
Reconciling items to GL - Sales				
Reconciliation of program discounts per DB to GL:				
Reversal of discounts per database		2,934	2,867	2,532
9% credit note provision	***Note 1***	(2,480)	(2,499)	(1,877)
2% credit note provision	***Note 1***	(1,314)	(1,367)	(547)
10% credit note provision	***Note 1***	(1,306)	-	-
8% credit note provision	***Note 1***	-	(861)	(719)
Year-end provision true-up (GL)	***Note 1***	760	701	n.q.
Total reconciliation of program discounts per DB to GL		(1,406)	(1,159)	(612)
Other credits and returns (recorded as incurred)	***Note 1***	(831)	(421)	n.q.
Other		20	(20)	n.q.
Adjusted sales, database		**101,828**	**102,468**	**94,351**
Sales per GL		101,272	102,209	93,648
Unreconciled		**(556)**	**(259)**	**(703)**
As a % of sales from GL		*(0.5)%*	*(0.3)%*	*(0.8)%*
Items in GL but not in database - COGS				
Freight out	***Note 1***	(583)	(567)	(580)
Import product development costs	***Note 1***	(625)	(364)	(362)
Manufacturing variances (F) / UF	***Note 2***	1,521	3,349	3,552
CY inventory write down, net of est. recovery of prior year write downs	***Note 3***	(205)	(310)	(310)
Items in GL but not in database		108	2,108	2,300
Adjusted COGS, database		**(67,479)**	**(66,478)**	**(59,781)**
COGS per GL		(68,025)	(66,133)	(60,655)
Unreconciled	***Note 4***	**(546)**	**345**	**(874)**
As a % of COGS from GL		*0.8%*	*(0.5)%*	*1.4%*
Gross profit reconciliation				
Gross profit, database		36,459	35,482	32,882
Reconciling items		(2,110)	507	1,688
Unreconciled variance		(1,101)	86	(1,577)
QofE adjustments		1,387	2,005	1,785
Recon items to adjusted GP		(1,824)	2,599	1,896
Gross profit, diligence adjusted		**34,635**	**38,081**	**34,778**
Change in recon items			*4,422*	*(702)*

Note 1*: amounts recorded at GL level and not included in database.*

Note 2*: costs per database are based upon standards and do not include variances (recorded in GL).*

Note 3*: COGS amounts included in database reflect historical landed cost and exclude write-downs.*

Note 4*: other potential reconciling considerations identified by management:*

(i) Database restates certain costs re: inventory manufactured/purchased in prior years at the current year standard FX rate vs. the GL which is maintained at historical foreign exchange rates for financial reporting.

(ii) (Standard costs in database may not fully reconcile with GL as certain modifications are made in database throughout the year (standard costs in the GL are updated at beginning of each year).

Amounts from the sales database were converted using monthly average foreign exchange rate.

Source: Management provided information; KPMG analysis

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Rent summary

The tables summarize the Company's reported rent expense and monthly rent per lease documents.

Market rent

$'000	FY19	FY20	TTM Sep-20
Reported rent expense			
Rent - Lachine	(344)	(480)	(480)
Rent (Admin)	(64)	(120)	(120)
Factory Rent	(84)	(84)	(84)
Factory expenses - Other	(8)	(8)	(8)
Rent (Plant overhead)	(40)	(40)	(40)
Rent income (Admin)	13	40	40
Toronto Office Rent (Selling)	(0)	-	-
Warehouse Rent	(344)	(437)	(436)
Rent (Plant overhead)	(51)	(52)	(54)
Total GFI	(526)	(692)	(692)
Total GFA	(395)	(490)	(490)
Total historical rent expense	**(921)**	**(1,181)**	**(1,182)**
Per rental agreements / summary			
Total GFI	(692)	(692)	(692)
Total GFA (in CAD)	(477)	(483)	(490)
Total rent expense per rental agreement	**(1,168)**	**(1,175)**	**(1,182)**

Source: Management provided information; KPMG analysis

Rent summary

$'000	Landlord	Monthly rent ($'000)	Square footage (actual)
GFA (in USD)			
Sewing Factory	Poulsen Rentals	3.4	6,400
Vermont Warehouse	GFA Realty	27.0	64,800
GFA		30.4	71,200
GFI (in CAD)			
Hamburg - Parking	1507844 Ontario Ltd.	3.3	n/a
IMD	n/a - internal charge / allocation	7.0	64,800
Lachine W/H	Genfoot Realty Inc.	40.0	120,000
Lachine office	Genfoot Realty Inc.	17.0	15,000
GFI		67.3	199,800

Source: Management provided information; KPMG analysis

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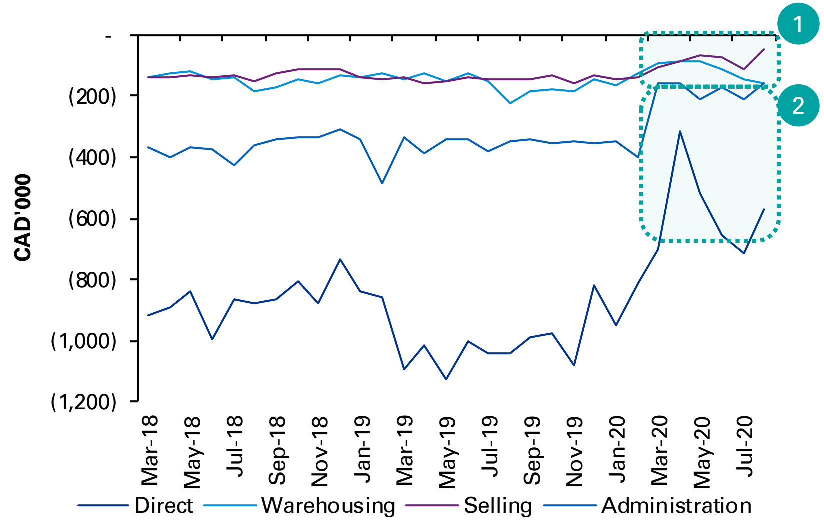
Personnel analysis

The following table illustrates salary and benefits expense for the primary operating entities on a combined basis.

Personnel analysis			
$'000	**FY19**	**FY20**	**TTM Sep-20**
Payroll costs			
Wages and Salaries	(15,572)	(17,024)	(12,268)
Benefits	(2,533)	(2,842)	(2,688)
Payroll costs	**(18,105)**	**(19,865)**	**(14,956)**
As a % of wages & salaries			
Benefits	*16.3%*	*16.7%*	*21.9%*
As a % of revenue			
Wages and Salaries	*(15.4%)*	*(16.7%)*	*(13.1%)*
Benefits	*(2.5%)*	*(2.8%)*	*(2.9%)*
Headcount			
GFI - Salaried	114	108	106
GFI - Hourly	159	187	179
GFA	63	78	81
GFE	n.q.	n.q.	n.q.
Headcount	**337**	**373**	**367**
Avg compensation per head			
Wages and salaries	(46)	(46)	(33)
Benefits	(8)	(8)	(7)
Total	**(54)**	**(53)**	**(41)**

Source: Management provided information; KPMG analysis

Personnel related expenses (Combined GFI/GFA/GFE)



Source: Management provided information; KPMG analysis

1. The Company implemented a 20% wage reduction from April 2020 to July 2020 as a result of uncertainty regarding COVID-19.

2. The Company implemented a factory closure affecting factories in Canada for 2 weeks and New Hamburg for 27 days starting in March 2020.

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Indicative inventory aging

The tables below present additional sensitivities relating to inventory aging as at February 2019, February 2020, and September 2020.

Indicative inventory aging (excl. New Product)	**Sep-20**				**Feb-20**				**Feb-19**			
	Value ($'000)				**Value ($'000)**				**Value ($'000)**			
Company	**Total**	**> 6 months**	**> 1 yr**	**> 2 yr**	**Total**	**> 6 months**	**> 1 yr**	**> 2 yr**	**Total**	**> 6 months**	**> 1 yr**	**> 2 yr**
Walmart	-	-	-	-	-	-	-	-	-	-	-	-
Kamik	-	-	-	-	-	-	-	-	-	-	-	-
Other	5,761	2,685	1,723	330	3,625	884	251	156	3,206	1,255	247	38
GFI	5,761	2,685	1,723	330	3,625	884	251	156	3,206	1,255	247	38
Walmart	2,373	-	-	-	3,099	173	-	-	2,589	19	19	19
Kamik	4,560	3,543	812	607	3,674	1,592	1,097	543	1,066	475	11	-
Other	8,189	3,211	1,424	591	4,946	1,541	706	259	3,788	1,178	806	436
GFA	15,122	6,754	2,236	1,198	11,720	3,305	1,803	801	7,443	1,671	836	455
Walmart	-	-	-	-	-	-	-	-	-	-	-	-
Kamik	-	-	-	-	-	-	-	-	-	-	-	-
Other	1,724	449	278	211	1,691	415	202	62	1,792	312	131	38
GFE	1,724	449	278	211	1,691	415	202	62	1,792	312	131	38
Total	**22,608**	**9,888**	**4,237**	**1,739**	**17,036**	**4,604**	**2,256**	**1,019**	**12,440**	**3,239**	**1,214**	**530**
Walmart	*2,373*	-	-	-	*3,099*	*173*	-	-	*2,589*	*19*	*19*	*19*
All other	*20,234*	*9,888*	*4,237*	*1,739*	*13,937*	*4,432*	*2,256*	*1,019*	*9,851*	*3,220*	*1,195*	*511*

Source: Management provided information; KPMG analysis

Indicative inventory aging (excl. New Product)	**Sep-20 (Net of writedowns)**				**Feb-20 (Net of writedowns)**				**Feb-19 (Net of writedowns)**			
	Value ($'000)				**Value ($'000)**				**Value ($'000)**			
Company	**Total**	**> 6 months**	**> 1 yr**	**> 2 yr**	**Total**	**> 6 months**	**> 1 yr**	**> 2 yr**	**Total**	**> 6 months**	**> 1 yr**	**> 2 yr**
Walmart	*n.q.*	*n.q.*	*n.q.*	*n.q.*	-	-	-	-	-	-	-	-
Kamik	*n.q.*	*n.q.*	*n.q.*	*n.q.*	-	-	-	-	-	-	-	-
Other	*n.q.*	*n.q.*	*n.q.*	*n.q.*	3,185	769	171	105	2,845	1,163	205	15
GFI	-	-	-	-	3,185	769	171	105	2,845	1,163	205	15
Walmart	*n.q.*	*n.q.*	*n.q.*	*n.q.*	3,098	173	-	-	2,545	19	19	19
Kamik	*n.q.*	*n.q.*	*n.q.*	*n.q.*	3,338	1,362	916	509	982	432	5	-
Other	*n.q.*	*n.q.*	*n.q.*	*n.q.*	3,984	1,253	541	195	2,921	871	565	325
GFA	-	-	-	-	10,420	2,788	1,456	704	6,447	1,321	590	344
Walmart	*n.q.*	*n.q.*	*n.q.*	*n.q.*	-	-	-	-	-	-	-	-
Kamik	*n.q.*	*n.q.*	*n.q.*	*n.q.*	-	-	-	-	-	-	-	-
Other	*n.q.*	*n.q.*	*n.q.*	*n.q.*	1,358	324	149	36	1,420	237	78	24
GFE	-	-	-	-	1,358	324	149	36	1,420	237	78	24
Total	**-**	**-**	**-**	**-**	**14,963**	**3,881**	**1,777**	**845**	**10,713**	**2,722**	**873**	**382**
Walmart	-	-	-	-	*3,098*	*173*	-	-	*2,545*	*19*	*19*	*19*
All other	-	-	-	-	*11,865*	*3,709*	*1,777*	*845*	*8,168*	*2,703*	*854*	*363*

Source: Management provided information; KPMG analysis

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Capital expenditures

The following table illustrates the historical capital expenditures of the Company. Capital expenditures are higher in FY20 primarily due to the Company's purchase of an injection molding machine in November 2019. The Company subsequently purchased another machine in November 2020, and has the option to purchase one more in 2021.

Capex summary			
$'000	**FY19**	**FY20**	**TTM Sep-20**
GFI additions, net	191	1,111	991
GFA additions (CAD)	49	124	0
Recon to audited CFS	13	2	1
Total reported capex spend	**253**	**1,236**	**991**
Lighting upgrade (Management QofE adj #12)	71	70	-
Total capex spend	**324**	**1,306**	**991**
Proceeds from disposition (Mgmt)	-	(114)	(114)
Recon to audited CFS	-	18	18
Total reported proceeds	**-**	**(96)**	**(96)**
Net capex spend	**324**	**1,210**	**895**

Source: Management provided information; KPMG analysis
Note: TTM Sep-20 proceeds from disposition estimated based on discussion with Management.

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Intercompany elimination

The below table summarizes various intercompany charges between entities that eliminate on consolidation.

Intercompany charges

$'000	GL	GFI	GFA	GFE	GME / Other	Total
Intercompany Charges - FY19						
Admin charge	800-7225	2,831	(2,520)	(275)	-	36
Market development subsidy - GFE	800-7228	(1,974)	-	2,009	-	35
Service fee charge - GME	800-7227	-	-	(2,215)	2,215	(0)
Total		857	(2,520)	(481)	2,215	71
Intercompany Charges - FY20						
Admin charge	800-7225	2,983	(2,708)	(266)	-	9
Market development subsidy - GFE	800-7228	(1,820)	-	1,790	-	(29)
Service fee charge - GME	800-7227	-	-	(2,078)	2,078	(0)
Total		1,163	(2,708)	(554)	2,078	(20)
Intercompany Charges - TTM Aug-20						
Admin charge	800-7225	2,978	(2,748)	(270)	-	(40)
Market development subsidy - GFE	800-7228	(1,820)	-	1,817	-	(2)
Service fee charge - GME	800-7227	-	-	(2,042)	2,078	36
Total		1,159	(2,748)	(495)	2,078	(6)
Intercompany Charges - TTM Sep-20						
Admin charge	800-7225	2,978	(2,748)	(270)	-	(40)
Market development subsidy - GFE	800-7228	(1,820)	-	1,828	-	8
Service fee charge - GME	800-7227	-	-	(2,043)	2,078	36
Total		**1,158**	**(2,748)**	**(485)**	**2,078**	**3**

Source: Management provided information; KPMG analysis

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Foreign currency impact (1/2) - Sensitivity

The following table summarizes the impact of foreign currencies in the FY20 period on a reported basis. The largest exposures are US dollar ($9.4 million USD positive inflow) and Euro (€2.6 million inflow). The potential impact if the Canadian dollar strengthens $0.01 against all currencies is approximately $194,000.

Base currency exposure (including QofE adjustments)				CAD$ equivalent (based on FY20 net currency exposure)				
	FY19	FY20	TTM Sep-20	TTM Sept-20 avg.		0.01 CAD$ strengthening		
$'000	In (out) flow	In (out) flow	In (out) flow	FX rate	CAD$ equiv.	FX rate	CAD$ equiv.	Impact
CAD	(7,728)	(4,667)	(8,441)	1.0000	(4,667)	1.0000	(4,667)	-
USD	7,791	9,937	13,796	1.3454	13,369	1.3354	13,269	(99)
EUR	2,863	2,700	2,598	1.5064	4,067	1.4964	4,040	(27)
NOK (Norway)	14,441	5,316	3,082	0.1428	759	0.1328	706	(53)
GBP	88	68	34	1.7148	117	1.7048	117	(1)
SEK (Sweden)	8,424	1,959	38	0.1424	279	0.1324	259	(20)
DKK (Denmark)	117	125	-	0.2019	25	0.1919	24	(1)
Total					**13,949**		**13,748**	**(201)**

Source: Management provided information; KPMG analysis
Note: TTM Sep-20 includes certain assumptions and extrapolations based on Management-provided data for FY19 and FY20.

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Foreign currency impact (2/2) - Constant currency

The following table summarizes the impact on the reported income statement if a constant currency FX rate was used, rather than the historical monthly average rate. The monthly average rate for TTM Sep-20 was used for the below analysis.

Constant currency income statement	Reported			Adjusted			Constant currency, adjusted			Variance		
$'000	**FY19**	**FY20**	**TTM Sep-20**	**FY19**	**FY20**	**TTM Sep-20**	**FY19**	**FY20**	**TTM Sep-20**	**FY19**	**FY20**	**TTM Sep-20**
Sales	101,272	102,209	93,648	101,222	102,638	94,032	129,530	132,122	118,192	28,307	29,484	24,160
Cost of sales	(68,025)	(66,133)	(60,655)	(66,587)	(64,557)	(59,254)	(96,021)	(94,941)	(84,082)	(29,433)	(30,384)	(24,828)
Gross profit	33,248	36,076	32,992	34,635	38,081	34,778	33,509	37,181	34,110	(1,126)	(900)	(668)
Operating expenses	(26,388)	(26,687)	(22,072)	(24,235)	(24,424)	(20,627)	(25,134)	(26,575)	(22,121)	(899)	(2,151)	(1,494)
Add back D&A and Interest	2,090	3,360	2,706	-	-	-	2,098	3,366	2,708	2,098	3,366	2,708
Opex excl. D&A and interest	(24,299)	(23,327)	(19,366)	(24,235)	(24,424)	(20,627)	(23,036)	(23,209)	(19,413)	1,199	1,215	1,214
EBITDA, Reported	**8,949**	**12,749**	**13,627**	**10,400**	**13,657**	**14,150**	**10,473**	**13,971**	**14,697**	**73**	**314**	**546**
Less: FX translation and hedging	(512)	46	(73)	(162)	(66)	(175)	(162)	(66)	(175)	-	-	-
EBITDA, less FX	**8,438**	**12,795**	**13,554**	**10,238**	**13,591**	**13,976**	**10,310**	**13,905**	**14,522**	**73**	**314**	**546**

Implied FX rates	Reported FY19	Reported FY20	Reported TTM Sep-20	Constant currency FY19	Constant currency FY20	Constant currency TTM Sep-20
USD to CAD	*1.3168*	*1.3361*	*1.3525*	*1.3454*	*1.3454*	*1.3454*
EUR to CAD	*1.4990*	*1.4766*	*1.3163*	*1.5064*	*1.5064*	*1.5064*

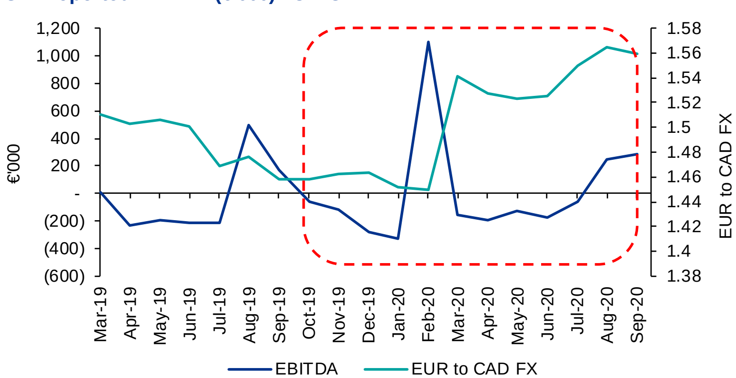
The above table excludes translation gains/(losses) and expenses related to FX hedging.

Constant currency sales and COGS reflect the elimination of intercompany profit on unsold inventory, however, sales and COGS are presented gross.

The results of the GII entity are included in TTM Sep-20.

Source: Management provided information; KPMG analysis
Notes:
(i) FX Exposure – CAD – translation of base currency transactions into CAD using implied historical rate.
(ii) Constant currency - translation of base currency transactions into CAD using monthly average rate for TTM Sep-20.
(iii) Implied FX rates shown at EBITDA level as timing / weighting of conversions will result in a different implied rate for each caption.

GFE reported EBITDA (€'000) vs. EUR FX



The lower implied FX rate for EUR in TTM Sep-20 is due the rate being a weighted average (impacted by the timing of reported EBITDA and FX rate movement, as noted in the adjacent chart).

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Engagement letter procedures (1/2)

Financial Due Diligence

Unless otherwise noted, our work will concentrate on financial information for the last two fiscal years ended February 2019 (FY19), February 2020 (FY20), and the latest available trailing twelve months (TTM 21).

1. **Quality of earnings**

   Summarize potential adjustments identified regarding the Target's earnings before interest, taxes, depreciation and amortization ("EBITDA") including:

   a) Impact of management proposed adjustments (executive compensation, non-operational legal fees, rent, bad debt provisions, legal settlement, other);
   b) The indicative impact of COVID and corresponding subsidies;
   c) The impact of raw material pricing trends (e.g. rubber);
   d) The impact of unusual sales promotion events;
   e) The impact of foreign exchange gains or losses on the reported earnings;
   f) The impact of write-downs for obsolete inventory;
   g) Large, unusual, and non-recurring events or transactions that may have distorted results;
   h) The impact of provisions and management estimates, or adjusting entries on the reported results;
   i) Other potential items discovered in the due diligence process.

2. **Supporting analysis to quality of earnings-income statement**

   Obtain and read an analysis of the Target's revenue and profitability inquire about and comment on:

   a) Business analysis using transaction level data and data analytic tools (depending on information availability and quality), bridging key year over year changes (price, volume), top/bottom performers:
      – Volume, sales, and margins by retail channel mass, value, core, premium, and e-commerce;
      – Volume, sales and margins by kids, men, women and by winter, rainboot, other product categories;
      – Volume, sales and margins by top customers;
      – Volume, sales and margin trends by geography (USA, Canada, Euro)
   b) Sales and COGS adjustments (including sales returns, markdowns, obsolescence, loyalty costs if applicable, other income, and other expenses);
   c) Manufacturing costs including labour, material costs, and overhead (including variances and capitalization policy/process);
   d) Selling costs (personnel, commissions, etc.);
   e) Corporate costs and overheads (accounting, executive, human resources, purchasing, marketing, administration, distribution and transportation, rent/occupancy).

3. **Foreign exchange**

   a) Understand foreign exchange exposure (e.g. USD, Euro) relative to the Canadian dollar including translational and transactional (e.g. net foreign exchange exposure)
   b) Understand how foreign exchange gains and losses are recorded and presented in the financial results.
   c) Impact of hedging programs, if any, on reported results.

4. **Working capital**

   Obtain details on Target's working capital and conduct the following:

   a) Monthly working capital trends, including seasonality, for the historical period;
   b) Historical trends in key working capital metrics (DSO, DIO, DPO);
   c) Inventory profile including breakdown, basis of provisions, and aging analysis;
   d) Accounts receivable aging analysis;
   e) Accounts payable aging analysis;
   f) Comment on factors that may have distorted the current or historical working capital position.
   g) Assist in guiding/determining appropriate working capital peg for the business

5. **Net debt**

   a) Summarize and comment on debt or debt-like items;
   b) Consider whether elements of working capital have the nature of and may be reclassified as net debt; and
   c) Consider the definition of net debt and whether there are other items that may be included within the net debt calculation.

6. **Capital expenditures**

   Obtain details of Company's historical capital expenditures, classified as growth and maintenance, by asset category, and comment on:

   a) Growth vs. maintenance capital expenditures by asset class (machines, molds);
   b) Machine age profile;
   c) Committed capital expenditures, including recent monthly spending versus budget;
   d) Historical and planned capital expenditures.

7. **Related party transactions**

   Inquire about and summarize nature and basis of pricing for arrangements with related parties.

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Engagement letter procedures (2/2)

8. **Commitments and contingencies**

   Inquire about significant commitments and contingent liabilities including:

   a) Pending or threatened litigation or investigations;
   b) Incentive compensation;
   c) Significant hedging (if applicable) or contracts with suppliers (any volume commitments); and
   d) Off-balance sheet transactions.

9. **Financial reporting overview**

   Read Target's financial statements and discuss them with management to gain an understanding of Target's accounting policies and practices, including:

   a) Finance function, financial reporting framework, and management reporting relationships; and
   b) Significant accounting policies and estimates and contemplated changes.
   c) Discuss any significant audit issues with the auditors;
   d) Comment on the nature and volume of audit differences (recorded and unrecorded adjustments), use of accounting estimates, any changes in accounting policies or methods; and
   e) Comment on control issues identified by the external auditors, if applicable.

Glossary

#	Number
$'000	Thousands of dollars (Canadian unless otherwise stated)
AASB	Auditing and Assurance Standards Board
AFCN	Allowances for credit notes
AFDA	Allowances for doubtful accounts
AP	Accounts payable
AR	Accounts receivable
ASP	Average selling price
CAD	Canadian Dollars
Capex	Capital Expenditure
CEO	Chief Executive officer
CEWS	Canada Emergency Wage subsidy
CFO	Chief Finance Officer
CFS	Consolidated financial statements (page 57)
Client	TorQuest Partners Inc.
CMO	Chief marketing officer (page 24)
CN	Credit notes
COGS	Cost of goods sold
COVID-19	Coronavirus disease 2019
CY	Current year
DIO	Days inventory outstanding
DPO	Days payable outstanding
DSO	Days sales outstanding
EBITDA	Earnings before interest, taxes, depreciation and amortization
EUR	Euros
FG	Finished goods
FX	Foreign exchange
FYXX	Fiscal year ended February 28, 20XX (or February 29, 2020)
GFA	Genfoot America Inc.
GFE	Genfoot Europe BV
GFI	Genfoot Inc.
GHK	Genfoot Hong Kong
GII	Genfoot International
GL	General Ledger
GME	Genfoot Marketing
LLP	Limited liability partnership
Max	Maximum
Min	Minimum
n.a./ NA	Not applicable
NWC	Net working capital
P&L	Profit & loss
PPE	Property, plant & equipment
PPP	Paycheck protection program
PY	Prior year
QofE	Quality of earnings
Qty	Quantity
SEO	Search engine optimization
SG&A	Selling, general and administrative
SPA	Sales purchase agreement
T3M	Trailing three months
Target	Genfoot / the Company
TTM	Trailing twelve months
USD	United states dollar
VP	Vice President
YTD	Year to date

Our report makes reference to "KPMG analysis". This indicates only that KPMG has undertaken certain analytical procedures on the underlying data to arrive at the information presented. We do not accept responsibility for the underlying data.

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